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ALCORN SCHOOL DISTRICT

Audited Financial Statements
For the Year Ended June 30, 2025

ALCORN SCHOOL DISTRICT

TABLE OF CONTENTS

INDEPENDENT AUDITOR'S REPORT.....	2
MANAGEMENT'S DISCUSSION AND ANALYSIS.....	5
BASIC FINANCIAL STATEMENTS.....	14
Government-wide Financial Statements	
Exhibit A – Statement of Net Position.....	15
Exhibit B – Statement of Activities.....	16
Governmental Funds Financial Statements	
Exhibit C – Balance Sheet.....	17
Exhibit C-1 – Reconciliation of the Governmental Funds Balance Sheet to the Statement of Net Position.....	18
Exhibit D – Statement of Revenues, Expenditures and Changes in Fund Balances.....	19
Exhibit D-1 – Reconciliation of the Governmental Funds Statement of Revenues, Expenditures and Changes in Fund Balances to the Statement of Activities.....	20
Notes to the Financial Statements.....	21
REQUIRED SUPPLEMENTARY INFORMATION.....	48
Budgetary Comparison Schedule – General Fund.....	49
Schedule of the District's Proportionate Share of the Net Pension Liability.....	50
Schedule of District Contributions (PERS).....	51
Schedule of the District's Proportionate Share of the Net OPEB Liability.....	52
Schedule of District Contributions (OPEB).....	53
Notes to the Required Supplementary Information.....	54
SUPPLEMENTARY INFORMATION.....	59
Schedule of Expenditures of Federal Awards.....	60
Schedule of Instructional, Administrative and Other Expenditures – Governmental Funds.....	63
OTHER INFORMATION.....	64
Statement of Revenues, Expenditures and Changes in Fund Balances – General Fund, Last Four Years.....	65
Statement of Revenues, Expenditures and Changes in Fund Balances – All Governmental Funds, Last Four Years.....	66
REPORTS ON INTERNAL CONTROL AND COMPLIANCE.....	67
Independent Auditor's Report on Internal Control Over Financial Reporting and on Compliance and Other Matters Based on an Audit of Financial Statements Performed in Accordance with <i>Government Auditing Standards</i>	68
Independent Auditor's Report on Compliance For Each Major Federal Program and on Internal Control over Compliance Required by the Uniform Guidance.....	70
INDEPENDENT AUDITOR'S REPORT ON COMPLIANCE WITH STATE LAWS AND REGULATIONS.....	72
SCHEDULE OF FINDINGS AND QUESTIONED COSTS.....	75

INDEPENDENT AUDITOR'S REPORT

CUNNINGHAM CPAs, PLLC
Certified Public Accountants & Consultants

202 Church Street
Belzoni, Mississippi 39038
Office: (662) 247-2416
Fax: (662) 247-2420

10 South Bancroft Street
Fairhope, Alabama 36532
Office: (251) 929-7778
Fax: (251) 929-7779

INDEPENDENT AUDITOR'S REPORT

Superintendent and School Board
Alcorn School District

Report on the Audit of the Financial Statements

Opinions

We have audited the financial statements of the governmental activities, each major fund, and the aggregate remaining fund information of the Alcorn School District as of and for the year ended June 30, 2025, and the related notes to the financial statements, which collectively comprise the Alcorn School District's basic financial statements as listed in the table of contents.

In our opinion, the accompanying financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, each major fund, and the aggregate remaining fund information of the Alcorn School District, as of June 30, 2025, and the respective changes in financial position thereof for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinions

We conducted our audit in accordance with auditing standards generally accepted in the United States of America (GAAS) and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States (*Government Auditing Standards*). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of the Alcorn School District and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Emphasis of Matter

As discussed in Note 7 and Note 10 to the financial statements, in 2025 the Alcorn School District adopted new accounting guidance, GASB Statement No. 101, *Compensated Absences*. As a result of this change, beginning net position as of July 1, 2024 was restated. Our opinion is not modified with respect to this matter.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Alcorn School District's ability to continue as a going concern for twelve months beyond the financial statement date, including any currently known information that may raise substantial doubt shortly thereafter.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinions. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS and *Government Auditing Standards* will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with GAAS and *Government Auditing Standards*, we

- Exercise professional judgment and maintain professional skepticism throughout the audit
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Alcorn School District's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Alcorn School District's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the management's discussion and analysis, budgetary comparison information, the Schedule of the District's Proportionate Share of the Net Pension Liability, the Schedule of District Contributions (PERS), the Schedule of the District's Proportionate Share of the Net OPEB Liability, and the Schedule of District Contributions (OPEB), be presented to supplement the basic financial statements. Such information is the responsibility of management and, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Supplementary Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the Alcorn School District's basic financial statements. The accompanying Schedule of Expenditures of Federal Awards, as required by *Title 2 U.S. Code of Federal Regulations Part 200*, Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards and the Schedule of Instructional, Administrative and Other Expenditures for Governmental Funds are presented for purposes of additional analysis and are not a required part of the basic financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. The information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the accompanying Schedule of Expenditures of Federal Awards and the Schedule of Instructional, Administrative and Other Expenditures for Governmental Funds are fairly stated, in all material respects, in relation to the basic financial statements as a whole.

Other Information

Management is responsible for the other information included in the annual report. The other information comprises the Statement of Revenues, Expenditures and Changes in Fund Balances—General Fund, Last Four Years and the Statement of Revenues, Expenditures and Changes in Fund Balances—All Governmental Funds, Last Four Years but does not include the basic financial statements and our auditor's report thereon. Our opinions on the basic financial statements do not cover the other information, and we do not express an opinion or any form of assurance thereon.

In connection with our audit of the basic financial statements, our responsibility is to read the other information and consider whether a material inconsistency exists between the other information and the basic financial statements, or the other information otherwise appears to be materially misstated. If, based on the work performed, we conclude that an uncorrected material misstatement of the other information exists, we are required to describe it in our report.

Other Reporting Required by Government Auditing Standards

In accordance with *Government Auditing Standards*, we have also issued our report dated July 31, 2026, on our consideration of the Alcorn School District's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts and grant agreements and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the Alcorn School District's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering Alcorn School District's internal control over financial reporting and compliance.

A handwritten signature in blue ink that reads "Cunningham CPAs". The signature is stylized and cursive.

Cunningham CPAs, PLLC
Belzoni, MS
July 31, 2026

MANAGEMENT'S DISCUSSION AND ANALYSIS

ALCORN SCHOOL DISTRICT

Management's Discussion and Analysis For Year Ended June 30, 2025

The following discussion and analysis of Alcorn School District's financial performance provides an overview of the School District's financial activities for the year ended June 30, 2025. The intent of this discussion and analysis is to look at the School District's performance as a whole. Readers are encouraged to review the financial statements and the notes to the financial statements to enhance their understanding of the School District's financial performance.

FINANCIAL HIGHLIGHTS

- Total net position for 2025 decreased \$7,948,817, including an error correction and a change in accounting principle of (\$1,147,789), which represents a 30% decrease from fiscal year 2024. Total net position for 2024 decreased \$1,082,421, including an error correction of \$73,390 which represents a 4% decrease from fiscal year 2023.
- General revenues amounted to \$32,596,205 and \$29,659,729, or 81% and 69% of all revenues for fiscal years 2025 and 2024, respectively. Program specific revenues in the form of charges for services and grants and contributions accounted for \$7,540,803, or 19% of total revenues for 2025, and \$13,077,409, or 31% of total revenues for 2024.
- The District had \$46,937,316 and \$43,892,949 in expenses for fiscal years 2025 and 2024; only \$7,540,083 for 2025 and \$13,077,409 for 2024 of these expenses was offset by program specific charges for services, grants and contributions. General revenues of \$32,596,205 for 2025 and \$29,659,729 for 2024 were not adequate to provide for these programs.
- Among major funds, the General Fund had \$33,211,880 in revenues and \$31,755,617 in expenditures for 2025, and \$32,276,345 in revenues and \$31,256,818 in expenditures in 2024. The General Fund's fund balance increased by \$1,231,135 from 2024 to 2025, and increased by \$1,101,182, from 2023 to 2024.
- Capital assets, including lease and SBITA assets, net of accumulated depreciation/amortization, decreased by \$454,556 for 2025 and increased by \$2,096,461, including an error correction of \$29,011 for 2024. The decrease for 2025 was due primarily to construction in progress and other additions coupled with the increase in accumulated depreciation/amortization.
- Long-term debt, including the lease and SBITA liability, increased by \$732,809 for 2025 and decreased by \$820,643 for 2024. This increase for 2025 was due primarily to issuing others loans payable and a change in accounting principle net of principal payments on outstanding long-term debt. The liability for compensated absences increased by \$1,040,959, including a change in accounting principle of \$1,111,270, for 2025 and decreased by \$71,573 for 2024.

OVERVIEW OF THE FINANCIAL STATEMENTS

This discussion and analysis serves as an introduction to the District's basic financial statements, which include government-wide financial statements, fund financial statements, and notes to the financial statements. This report also contains required supplementary information, supplementary information, and other information.

Government-wide Financial Statements

The government-wide financial statements are designed to provide the reader with a broad overview of the District's finances. These statements consist of the Statement of Net Position and the Statement of Activities, which are prepared using the flow of economic resources measurement focus and the accrual basis of accounting. The current year's revenues and expenses are taken into account regardless of when cash is received or paid.

The Statement of Net Position presents information on all the District's nonfiduciary assets, deferred

ALCORN SCHOOL DISTRICT

Management's Discussion and Analysis For Year Ended June 30, 2025

outflows, liabilities, and deferred inflows, with the differences between them reported as "net position." Over time, increases or decreases in the District's net position may serve as a useful indicator of whether its financial position is improving or deteriorating.

The Statement of Activities presents information showing how the District's net position changed during the most recent fiscal year. All changes in net position are reported as soon as the underlying event giving rise to the change occurs, regardless of the timing of related cash flows. Thus, revenues and expenses are reported in this statement for some items that will only result in cash flows in future fiscal periods.

The government-wide financial statements outline functions of the District that are principally supported by property taxes and intergovernmental revenues (governmental activities). The governmental activities of the District include instruction, support services, non-instructional, pension expense, OPEB expense, and interest on long-term liabilities.

Fund Financial Statements

A fund is a grouping of related accounts that is used to maintain control over resources that have been segregated for specific activities or objectives. The District uses fund accounting to ensure and demonstrate compliance with finance-related legal requirements. All of the funds of the District are governmental funds.

Governmental funds – All of the District's general activities are reported in its governmental funds. Governmental funds are used to account for essentially the same functions reported as governmental activities in the government-wide financial statements. However, governmental funds are accounted for using the modified accrual basis of accounting and the flow of current financial resources measurement focus. The approach focuses on near-term inflows and outflows of spendable resources, as well as balances of spendable resources available at year end. The governmental fund statements provide a detailed view of the District's near-term financing requirements.

Because the focus of governmental funds is narrower than that of the government-wide financial statements, it is useful to compare the information presented for governmental funds with similar information presented for governmental activities in the government-wide financial statements. By doing so, the reader may gain a better understanding of the long-term impact of the District's near-term financing decisions. The governmental funds Balance Sheet is reconciled to the Statement of Net Position, and the governmental funds Statement of Revenues, Expenditures, and Changes in Fund Balances is reconciled to the Statement of Activities to facilitate this comparison between governmental funds and governmental activities.

The District maintains individual governmental funds in accordance with the *Financial Accounting Manual for Mississippi Public School Districts*. Information is presented separately in the governmental funds Balance Sheet and in the governmental funds Statement of Revenues, Expenditures, and Changes in Fund Balances for all major funds. All non-major funds are combined and presented in these reports as other governmental funds.

Reconciliation of Government-wide and Fund Financial Statements

The financial statements include two schedules that reconcile the amounts reported on the governmental funds financial statements (modified accrual basis of accounting) with government-wide financial statements (accrual basis of accounting). The following summarizes the major differences between the two statements:

Capital assets used in governmental activities are not reported on governmental funds financial statements.

Capital outlay spending results in capital assets on government-wide financial statements, but is reported as expenditures on the governmental funds financial statements.

ALCORN SCHOOL DISTRICT

Management's Discussion and Analysis For Year Ended June 30, 2025

Bond and note proceeds result in liabilities on government-wide financial statements, but are recorded as other financing sources on the governmental funds financial statements.

A net pension liability and net OPEB liability result in liabilities on the government-wide financial statements but are not reported on governmental funds financial statements.

Certain other outflows represent either increases or decreases in liabilities on the government-wide financial statements, but are reported as expenditures on the governmental funds financial statements.

Notes to the financial statements

The notes provide additional information that is essential to a full understanding of the data provided in the government-wide and fund financial statements. The notes to the financial statements can be found immediately following the basic financial statements.

Required Supplementary Information

In addition to the basic financial statements and accompanying notes, this report also presents budgetary comparison schedules, Schedule of the District's Proportionate Share of the Net Pension Liability, Schedule of District Contributions (PERS), Schedule of the District's Proportionate Share of the Net OPEB Liability, and Schedule of District Contributions (OPEB) as required supplementary information. The District adopts an annual operating budget for all governmental funds. A budgetary comparison schedule has been provided for the General Fund as required by the Governmental Accounting Standards Board.

Supplementary Information

Additionally, a Schedule of Expenditures of Federal Awards as required by Title 2 U.S. Code of Federal Regulations Part 200, Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards and a Schedule of Instructional, Administrative and Other Expenditures for governmental funds can be found in this report.

Other Information

Although not a required part of the basic financial statements, the Statement of Revenues, Expenditures and Changes in Fund Balances—General Fund, Last Four Years and the Statement of Revenues, Expenditures and Changes in Fund Balances—All Governmental Funds, Last Four Years, is presented for purposes of additional analysis as required by the Mississippi Department of Education.

GOVERNMENT-WIDE FINANCIAL ANALYSIS

Net position

Net position may serve over time as a useful indicator of the District's financial position. Liabilities and deferred inflows of resources exceeded assets and deferred outflows of resources by \$34,834,696 as of June 30, 2025.

The District's financial position is a product of several financial transactions including the net result of activities, the acquisition and payment of debt, the acquisition and disposal of capital assets and the depreciation of capital assets.

Table 1 presents a summary of the District's net position at June 30, 2025 and June 30, 2024.

ALCORN SCHOOL DISTRICT

Management's Discussion and Analysis
For Year Ended June 30, 2025

Table 1
Condensed Statement of Net Position

	June 30, 2025	June 30, 2024	Percentage Change
Current assets	\$ 12,411,299	\$ 11,388,098	8.98 %
Restricted assets	3,112,436	1,925,322	61.66 %
Capital assets, net	22,190,293	22,644,849	-2.01 %
Total assets	37,714,028	35,958,269	4.88 %
Deferred outflows of resources	17,286,182	19,745,504	-12.46 %
Current liabilities	2,588,322	2,441,417	6.02 %
Long-term debt outstanding	6,755,861	5,937,626	13.78 %
Lease liability	184,508	190,000	-2.89 %
SBITA liability	110,909	190,843	-41.88 %
Net OPEB liability	2,152,492	2,130,102	1.05 %
Net pension liability	77,398,510	70,896,038	9.17 %
Total liabilities	89,190,602	81,786,026	9.05 %
Deferred inflows of resources	644,304	803,626	-19.83 %
Net position:			
Net investment in capital assets	17,137,829	16,950,841	1.10 %
Restricted	3,488,100	4,330,260	-19.45 %
Unrestricted	(55,460,625)	(48,166,980)	-15.14 %
Total net position	\$ (34,834,696)	\$ (26,885,879)	-29.57 %

Additional information on unrestricted net position:

In connection with the application of standards on accounting and financial reporting for pensions and OPEB, management presents the following additional information:

Total unrestricted net position (deficit)	\$ (55,460,625)
Less unrestricted deficit in net position resulting from recognition of the net pension and net OPEB liability, including the deferred outflows and deferred inflows related to pensions and OPEB	<u>62,909,124</u>
Unrestricted net position, exclusive of the net pension and net OPEB liability effect	<u>\$ 7,448,499</u>

The following are significant current year transactions that have had an impact on the Statement of Net Position.

- Decrease in net capital assets in the amount of \$454,556.
- The principal retirement of \$1,509,876 of long-term debt.
- Issuing \$850,000 in other loans payable.
- Inception of SBITA leases of \$221,409.

ALCORN SCHOOL DISTRICT

Management's Discussion and Analysis For Year Ended June 30, 2025

Changes in net position

The District's total revenues for the fiscal years ended June 30, 2025 and June 30, 2024 were \$40,136,288 and \$42,737,138, respectively. The total cost of all programs and services was \$46,937,316 for 2025 and \$43,892,949 for 2024.

Table 2 presents a summary of the changes in net position for the fiscal years ended June 30, 2025 and June 30, 2024.

Table 2
Changes in Net Position

	Year Ended June 30, 2025	Year Ended June 30, 2024	Percentage Change
Revenues:			
Program revenues:			
Charges for services	\$ 1,791,080	\$ 1,887,152	(5.09) %
Operating grants and contributions	5,749,003	11,190,257	(48.62) %
General revenues:			
Property taxes	9,186,590	8,906,018	3.15 %
Grants and contributions not restricted	22,815,808	19,909,420	14.60 %
Investment earnings	460,336	87,137	428.29 %
Sixteenth section sources	-	417	(100.00) %
Other	133,471	756,737	(82.36) %
Total revenues	40,136,288	42,737,138	(6.09) %
Expenses:			
Instruction	21,471,997	21,163,629	1.46 %
Support services	10,841,717	10,469,999	3.55 %
Non-instructional	1,918,815	1,796,105	6.83 %
Pension expense	12,523,185	10,244,777	22.24 %
OPEB expense	(46,399)	(105,355)	55.96 %
Interest on long-term liabilities	228,001	323,794	(29.58) %
Total expenses	46,937,316	43,892,949	6.94 %
Increase (Decrease) in net position	(6,801,028)	(1,155,811)	(488.42) %
Net Position, July 1, as previously reported	(26,885,879)	(25,803,458)	(4.19) %
Error correction	(36,519)	73,390	(149.76) %
Change in accounting principle	(1,111,270)	-	N/A %
Net Position, July 1, as restated	(28,033,668)	(25,730,068)	(8.95) %
Net Position, June 30	\$ (34,834,696)	\$ (26,885,879)	(29.57) %

Management has determined that restating the prior year information for the error correction and change in accounting principle noted above is not practical due to the nature of the adjustments, which span multiple fiscal years and determining the individual years the change pertains to would not be practical.

Governmental activities

The following table presents the cost of six major District functional activities: instruction, support services, non-instructional, pension expense, OPEB expense and interest on long-term liabilities. The table also shows each functional activity's net cost (total cost less charges for services generated by the activities and intergovernmental aid provided for specific programs). The net cost presents the financial burden that was placed on the State and District's taxpayers by each of these functions.

ALCORN SCHOOL DISTRICT

Management's Discussion and Analysis For Year Ended June 30, 2025

Table 3
Net Cost of Governmental Activities

	Total Expenses		Percentage Change
	2025	2024	
Instruction	\$ 21,471,997	\$ 21,163,629	1.46 %
Support services	10,841,717	10,469,999	3.55 %
Non-instructional	1,918,815	1,796,105	6.83 %
Pension Expense	12,523,185	10,244,777	22.24 %
OPEB Expense	(46,399)	(105,355)	55.96 %
Interest on long-term liabilities	228,001	323,794	(29.58) %
Total expenses	\$ 46,937,316	\$ 43,892,949	6.94 %

	Net (Expense) Revenue		Percentage Change
	2025	2024	
Instruction	\$ (17,051,107)	\$ (13,765,387)	(23.87) %
Support services	(9,600,003)	(6,797,075)	(41.24) %
Non-instructional	(41,336)	210,138	(119.67) %
Pension Expense	(12,523,185)	(10,244,777)	(22.24) %
OPEB Expense	46,399	105,355	(55.96) %
Interest on long-term liabilities	(228,001)	(323,794)	29.58 %
Total net (expense) revenue	\$ (39,397,233)	\$ (30,815,540)	(27.85) %

- Net cost of governmental activities (\$39,397,233 for 2025 and \$30,815,540 for 2024) was financed by general revenue, which is primarily made up of property taxes (\$9,186,590 for 2025 and \$8,906,018 for 2024) and state and federal revenues (\$22,815,808 for 2025 and \$19,909,420 for 2024).
- Investment earnings amounted to \$460,336 for 2025 and \$87,137 for 2024.

FINANCIAL ANALYSIS OF THE DISTRICT'S FUNDS

As noted earlier, the District uses fund accounting to ensure and demonstrate compliance with finance-related legal requirements.

Governmental funds. The focus of the District's governmental funds is to provide information on current inflows, outflows and balances of spendable resources. Such information is useful in assessing the District's financing requirements. In particular, unassigned fund balance may serve as a useful measure of the District's net resources available for spending at the end of the fiscal year.

The financial performance of the District as a whole is reflected in its governmental funds. As the District completed the year, its governmental funds reported a combined fund balance of \$13,055,244, an increase of \$2,080,532, which includes a decrease in inventory of \$4,234. \$7,020,621 or 54% of the fund balance is unassigned, which represents the residual classification for the General Fund's fund balance that has not been assigned to other funds and that has not been restricted, committed, or assigned to specific purposes within the general fund. The remaining fund balance of \$6,034,623 or 46% is either nonspendable, restricted, committed or assigned to indicate that it is not available for spending except only for the purposes to which it is restricted, committed or assigned.

ALCORN SCHOOL DISTRICT

Management's Discussion and Analysis For Year Ended June 30, 2025

The General Fund is the principal operating fund of the District. The increase in fund balance in the General Fund for the fiscal year was \$1,231,135. The fund balance of Other Governmental Funds showed an increase in the amount of \$677,301, which includes a decrease in reserve for inventory of \$4,234, due primarily to normal operations. The increase (decrease) in the fund balances for the other major funds were as follows:

<u>Major Fund</u>		<u>Increase (Decrease)</u>
QSCB Retirement Fund	\$	172,096

BUDGETARY HIGHLIGHTS

During the year, the District revised the annual operating budget. Budget revisions were made to address and correct the original budgets to reflect more accurately the sources and uses of funding for the School District.

A schedule showing the original and final budget amounts compared to the District's actual financial activity for the General Fund is provided in this report as required supplementary information.

CAPITAL ASSETS AND DEBT ADMINISTRATION

Capital Assets. As of June 30, 2025, the District's total capital assets were \$48,433,008, including land, school buildings, building improvements, improvements other than buildings, buses, other school vehicles, furniture and equipment, and any intangible assets. This amount represents an increase of \$911,936 from 2024. Total accumulated depreciation and amortization as of June 30, 2025, was \$26,242,715, and total depreciation and amortization expense for the year was \$1,552,243, resulting in total net capital assets of \$22,190,293.

Table 4
Capital Assets, Net of Accumulated Depreciation

	<u>June 30, 2025</u>	<u>June 30, 2024</u>	<u>Percentage Change</u>
Land	\$ 235,426	\$ 235,426	0.00 %
Construction in Progress	-	7,236	(100.00) %
Buildings	9,775,894	10,045,836	(2.69) %
Building improvements	7,387,881	7,601,542	(2.81) %
Improvements other than buildings	2,105,084	2,061,205	2.13 %
Mobile equipment	1,746,613	1,632,610	6.98 %
Furniture and equipment	488,072	572,425	(14.74) %
Lease assets	172,533	138,537	24.54 %
Subscription IT assets	278,790	350,032	(20.35) %
Total	\$ 22,190,293	\$ 22,644,849	(2.01) %

Additional information on the District's capital assets can be found in Note 5 and Note 6 included in this report.

ALCORN SCHOOL DISTRICT

Management's Discussion and Analysis For Year Ended June 30, 2025

Debt Administration. At June 30, 2025, the District had \$7,051,278 in outstanding long-term debt, of which \$3,060,086 is due within one year. The liability for compensated absences increased \$1,040,959, including a change in accounting principle of \$1,111,270, from the prior year.

**Table 5
Outstanding Long-Term Debt**

	June 30, 2025	June 30, 2024	Percentage Change
Three mill notes payable	\$ 2,135,000	\$ 2,586,000	(17.44) %
Premium on notes	59,240	71,088	(16.67) %
Installment purchase loans payable	-	496,077	(100.00) %
Qualified school construction bonds payable	2,160,000	2,160,000	0.00 %
Other loans payable	995,395	259,194	284.03 %
Compensated absences payable	1,406,226	365,267	284.99 %
Lease liabilities	184,508	190,000	(2.89) %
Subscription IT liabilities	110,909	190,843	(41.88) %
Total	\$ 7,051,278	\$ 6,318,469	11.60 %

Additional information on the District's long-term debt can be found in Note 6 and Note 7 included in this report.

CURRENT ISSUES

The Alcorn School District is financially stable. The District is proud of its community support of the public schools.

The District has committed itself to financial excellence for many years. The District's system of financial planning, budgeting and internal financial controls are well regarded. The District plans to continue its sound fiscal management to meet the challenges of the future.

The District actively pursues grant funding to supplement the local, state and federal revenues.

CONTACTING THE DISTRICT'S FINANCIAL MANAGEMENT

If you have any questions about this report or need additional financial information, contact the Superintendent's Office of the Alcorn School District, P.O. Box 1420, Corinth, MS 38835.

FINANCIAL STATEMENTS

ALCORN SCHOOL DISTRICT

**Statement of Net Position
June 30, 2025**

Exhibit A

	Governmental Activities
Assets	
Cash and cash equivalents	\$ 11,145,153
Due from other governments	1,201,435
Inventories	64,711
Restricted assets	3,112,436
Capital assets, non-depreciable:	
Land	235,426
Capital assets, net of accumulated depreciation and amortization:	
Buildings	9,775,894
Building improvements	7,387,881
Improvements other than buildings	2,105,084
Mobile equipment	1,746,613
Furniture and equipment	488,072
Lease assets	172,533
Subscription IT assets	278,790
Total Assets	<u>37,714,028</u>
Deferred Outflows of Resources	
Deferred outflows - pensions	16,521,910
Deferred outflows - OPEB	764,272
Total deferred outflows of resources	<u>17,286,182</u>
Liabilities	
Accounts payable and accrued liabilities	2,468,491
Interest payable on long-term liabilities	119,831
Long-term liabilities, due within one year:	
Capital related liabilities	2,752,647
Lease liabilities	146,681
SBITA liabilities	90,447
Noncapital liabilities	70,311
Net OPEB liability	100,693
Long-term liabilities, due beyond one year:	
Capital related liabilities	2,596,988
Lease liabilities	37,827
SBITA liabilities	20,462
Noncapital liabilities	1,335,915
Net pension liability	77,398,510
Net OPEB liability	2,051,799
Total Liabilities	<u>89,190,602</u>
Deferred Inflows of Resources	
Deferred inflows - pensions	87,406
Deferred inflows - OPEB	556,898
Total deferred inflows of resources	<u>644,304</u>
Net Position	
Net investment in capital assets	17,137,829
Restricted for:	
Expendable:	
School-based activities	1,010,761
Debt service	2,411,565
Unemployment benefits	65,774
Unrestricted	(55,460,625)
Total Net Position	<u>\$ (34,834,696)</u>

The notes to the financial statements are an integral part of this statement.

ALCORN SCHOOL DISTRICT

Statement of Activities

For the Year Ended June 30, 2025

Exhibit B

Functions/Programs	Expenses	Program Revenues			Governmental Activities	Net (Expense) Revenue and Changes in Net Position
		Charges for Services	Operating Grants and Contributions	Capital Grants and Contributions		
Governmental Activities:						
Instruction	\$ 21,471,997	\$ 1,401,130	\$ 3,019,760	\$ -	\$	(17,051,107)
Support services	10,841,717	-	1,241,714	-		(9,600,003)
Non-instructional	1,918,815	389,950	1,487,529	-		(41,336)
Pension expense	12,523,185	-	-	-		(12,523,185)
OPEB expense	(46,399)	-	-	-		46,399
Interest on long-term liabilities	228,001	-	-	-		(228,001)
Total Governmental Activities	<u>\$ 46,937,316</u>	<u>\$ 1,791,080</u>	<u>\$ 5,749,003</u>	<u>\$ -</u>	<u>\$</u>	<u>(39,397,233)</u>

General Revenues:

Taxes:

General purpose levies

8,645,368

Debt purpose levies

541,222

Unrestricted grants and contributions:

State

22,556,916

Federal

258,892

Unrestricted investment earnings

460,336

Other

133,471

Total General Revenues

32,596,205

Change in Net Position

(6,801,028)

Net Position - Beginning, as previously reported

(26,885,879)

Adjustments or restatements

(1,147,789)

Net Position - Beginning, as restated

(28,033,668)

Net Position - Ending

\$ (34,834,696)

The notes to the financial statements are an integral part of this statement.

ALCORN SCHOOL DISTRICT

Governmental Funds

Balance Sheet
June 30, 2025

Exhibit C

	Major Funds			
	General	QSCB	Other	Total
	Fund	Retirement	Governmental	Governmental
	Fund	Fund	Funds	Funds
Assets:				
Cash and cash equivalents	\$ 9,143,799	\$ -	\$ 3,016,372	\$ 12,160,171
Cash with fiscal agents	-	117	-	117
Investments	-	2,097,301	-	2,097,301
Due from other governments	507,382	-	694,053	1,201,435
Due from other funds	565,211	-	-	565,211
Inventories	-	-	64,711	64,711
Total assets	10,216,392	2,097,418	3,775,136	16,088,946
Liabilities and Fund Balances				
Liabilities:				
Accounts payable and accrued liabilities	\$ 2,443,513	\$ -	\$ 24,978	\$ 2,468,491
Due to other funds	-	-	565,211	565,211
Total Liabilities	2,443,513	-	590,189	3,033,702
Fund Balances:				
Nonspendable:				
Inventory	-	-	64,711	64,711
Restricted:				
Debt service	-	2,097,418	433,978	2,531,396
Grant activities	-	-	946,050	946,050
Capital improvements	-	-	592,588	592,588
Unemployment benefits	-	-	65,774	65,774
Assigned:				
Student activities	752,258	-	-	752,258
Capital improvements	-	-	1,081,846	1,081,846
Unassigned	7,020,621	-	-	7,020,621
Total Fund Balances	7,772,879	2,097,418	3,184,947	13,055,244
Total Liabilities and Fund Balances	\$ 10,216,392	\$ 2,097,418	\$ 3,775,136	\$ 16,088,946

The notes to the financial statements are an integral part of this statement.

ALCORN SCHOOL DISTRICT

Governmental Funds

**Reconciliation of the Governmental Funds Balance Sheet to the Statement of Net Position
June 30, 2025**

Exhibit C-1

Total fund balances for governmental funds \$ 13,055,244

Amounts reported for governmental activities in the statement of net position are different because:

1. Capital assets used in governmental activities are not financial resources and therefore are not reported in the funds:

Land	235,426	
Buildings	27,329,173	
Building improvements	9,708,361	
Improvements other than buildings	2,455,508	
Mobile equipment	5,154,769	
Furniture and equipment	2,346,896	
Lease assets, net	172,533	
Subscription based IT assets, net	278,790	
Accumulated depreciation and amortization	<u>(25,491,163)</u>	22,190,293

2. Some liabilities, including net pension obligations, are not due and payable in the current period and, therefore, are not reported in the funds:

Net pension liability	(77,398,510)	
Deferred outflow s and inflow s of resources related to pensions are applicable to future periods and, therefore, are not reported in the funds:		
Deferred outflow s of resources related to pensions	16,521,910	
Deferred inflow s of resources related to pensions	<u>(87,406)</u>	(60,964,006)

3. Some liabilities, including net OPEB obligations, are not due and payable in the current period and, therefore, are not reported in the funds:

Net OPEB liability	(2,152,492)	
Deferred outflow s and inflow s of resources related to OPEB are applicable to future periods and, therefore, are not reported in the funds:		
Deferred outflow s of resources related to OPEB	764,272	
Deferred inflow s of resources related to OPEB	<u>(556,898)</u>	(1,945,118)

4. Long-term liabilities and related accrued interest are not due and payable in the current period and therefore are not reported in the funds:

Three mill notes payable	(2,135,000)	
Premium on notes	(59,240)	
Qualified school construction bonds	(2,160,000)	
Other loans payable	(995,395)	
Compensated absences	(1,406,226)	
Lease liabilities	(184,508)	
Subscription based IT liabilities	(110,909)	
Accrued interest payable	<u>(119,831)</u>	(7,171,109)

Net position of governmental activities \$ (34,834,696)

The notes to the financial statements are an integral part of this statement.

ALCORN SCHOOL DISTRICT

Governmental Funds

Statement of Revenues, Expenditures and Changes in Fund Balances

Exhibit D

For the Year Ended June 30, 2025

	Major Funds			Total
	General Fund	QSCB Retirement Fund	Other Governmental Funds	Governmental Funds
Revenues:				
Local sources	\$ 9,998,698	\$ 102,019	\$ 1,430,830	\$ 11,531,547
State sources	22,954,290	-	1,197,467	24,151,757
Federal sources	258,892	-	4,154,162	4,413,054
Total Revenues	33,211,880	102,019	6,782,459	40,096,358
Expenditures:				
Instruction	19,670,380	-	3,322,650	22,993,030
Support services	10,892,614	-	1,284,915	12,177,529
Noninstructional services	4,561	-	1,890,585	1,895,146
Facilities acquisition and construction	88,488	-	236,135	324,623
Debt service:				
Principal	945,077	-	564,799	1,509,876
Interest	151,307	-	68,230	219,537
Other	3,190	-	-	3,190
Total Expenditures	31,755,617	-	7,367,314	39,122,931
Excess (Deficiency) of Revenues over (under) Expenditures	1,456,263	102,019	(584,855)	973,427
Other Financing Sources (Uses):				
Proceeds of loans	-	-	850,000	850,000
SBITA's issued	221,409	-	-	221,409
Payment from QSCB escrow agent	-	70,078	-	70,078
Payment to QSCB debt escrow agent	(70,078)	-	-	(70,078)
Operating transfers in	26,019	-	446,344	472,363
Other financing sources	41,073	-	-	41,073
Operating transfers out	(443,551)	-	(28,812)	(472,363)
Other financing uses	-	(1)	(1,142)	(1,143)
Total Other Financing Sources (Uses)	(225,128)	70,077	1,266,390	1,111,339
Net Change in Fund Balances	1,231,135	172,096	681,535	2,084,766
Fund Balances:				
July 1, 2024	6,541,744	1,925,322	2,507,646	10,974,712
Increase (Decrease) in reserve for inventory	-	-	(4,234)	(4,234)
June 30, 2025	\$ 7,772,879	\$ 2,097,418	\$ 3,184,947	\$ 13,055,244

The notes to the financial statements are an integral part of this statement.

ALCORN SCHOOL DISTRICT

Governmental Funds

**Reconciliation of the Governmental Funds Statement of Revenues,
Expenditures and Changes in Fund Balances to the Statement of Activities
For the Year Ended June 30, 2025**

Exhibit D-1

Net change in fund balances - total governmental funds \$ 2,084,766

Amounts reported for governmental activities in the statement of activities are different because:

1. Governmental funds report capital outlay as expenditures. How ever, in the statement of activities, the cost of capital assets is allocated over their estimated useful lives as depreciation expense. In the current period, these amounts are:		
Capital outlay	\$ 1,038,045	
Depreciation and amortization expense	<u>(1,552,243)</u>	(514,198)
2. In the statement of activities, only the gain/loss on the sale of assets is reported, w hile in the governmental funds, the proceeds from the sale increases financial resources. Thus, the change in net position differs from the change in fund balance by the cost of the assets sold.		
		(46,004)
3. The issuance of long-term debt provides current financial resources to governmental funds, w hile the repayment of the principal of long-term debt consumes the current financial resources of governmental funds. Neither transaction, how ever, has any effect on net position. Also, governmental funds report the effect of premiums, discounts and the difference betw een the carrying value of refunded debt and the acquisition cost of refunded debt w hen debt is first issued. These amounts are deferred and amortized in the statement of activities:		
Subscription IT liability issued	(221,409)	
Proceeds of loans	(850,000)	
Payments of debt principal	1,509,876	
Accrued interest payable	<u>(17,122)</u>	421,345
4. Some items relating to pensions and reported in the statement of activities do not provide or require the use of current financial resources and therefore are not reported as revenues/expenditures in the governmental funds. These activities include:		
Pension expense	(12,523,185)	
Contributions subsequent to the measurement date	<u>3,551,231</u>	(8,971,954)
5. Some items relating to OPEB and reported in the statement of activities do not provide or require the use of current financial resources and therefore are not reported as revenues/expenditures in the governmental funds. These activities include:		
OPEB expense	46,399	
Contributions subsequent to the measurement date	<u>100,693</u>	147,092
6. Some items reported in the statement of activities do not provide or require the use of current financial resources and therefore are not reported as revenues/expenditures in governmental funds. These activities include:		
Change in compensated absences	70,311	
Amortization of loan premiums	11,848	
Change in inventory reserve	<u>(4,234)</u>	77,925

Change in net position of governmental activities \$ (6,801,028)

The notes to the financial statements are an integral part of this statement.

Note 1 – Summary of Significant Accounting Policies

The accompanying financial statements of the school district have been prepared in conformity with generally accepted accounting principles (GAAP) as prescribed by the Governmental Accounting Standards Board (GASB). GASB is the accepted standard-setting body for governmental accounting and financial reporting principles. The most significant of the school district's accounting policies are described below.

A. Financial Reporting Entity

As defined by accounting principles generally accepted in the United States of America, the school district is considered a "primary government." The school district is governed by a five member board to which each member is elected by the citizens of each defined county district.

For financial reporting purposes, Alcorn School District has included all funds and organizations. The District has also considered all potential component units for which it is financially accountable and other organizations for which the nature and significance of their relationship with the District are such that exclusion would cause the District's financial statements to be misleading or incomplete. The Governmental Accounting Standards Board has set forth criteria to be considered in determining financial accountability. These criteria include appointing a voting majority of an organization's governing body and (1) the ability of the District to impose its will on that organization or (2) the potential for the organization to provide specific benefits to or impose specific financial burdens on the District.

B. Government-wide and Fund Financial Statements

Government-wide Financial Statements – The Statement of Net Position and the Statement of Activities report information on all of the non-fiduciary activities of the District. For the most part, the effect of inter-fund activity has been removed from these statements. Governmental activities, which normally are supported by tax and intergovernmental revenues, are reported separately from business type activities, which rely to a significant extent on fees and charges for support.

The Statement of Net Position presents the District's non-fiduciary assets, deferred outflows, liabilities, and deferred inflows with the difference reported as net position. Net position is reported in three categories:

1. Net investment in capital assets consists of capital assets, net of accumulated depreciation, and reduced by outstanding balances of bonds, notes and other debt attributable to the acquisition, construction or improvement of those assets.
2. Restricted net position results when constraints placed on net position use are either externally imposed or imposed by law through constitutional provisions or enabling legislation.
3. Unrestricted net position consists of net position not meeting the definition of the two preceding categories. Unrestricted net position often has constraints on resources imposed by management which can be removed or modified.

The Statement of Activities demonstrates the degree to which the direct expenses of a given function, or segment, are offset by program revenues. Direct expenses are those clearly identifiable with a specific function. Program revenues include 1) charges to customers or applicants who purchase, use, or directly benefit from goods, services, or privileges provided by a given function and 2) grants, contributions and interest restricted to meeting the operational or capital requirements of a particular function. Property taxes and other items not included among program revenues are reported instead as general revenues.

Alcorn School District

Notes to the Financial Statements
For Year Ended June 30, 2025

Fund Financial Statements - Separate financial statements are provided for governmental funds. Major individual governmental funds are reported in separate columns in the fund financial statements. All remaining governmental funds are aggregated and reported as other governmental funds.

The school district reports the following major governmental funds:

General Fund - This is the school district's primary operating fund. The general fund is used to account for and report all financial resources not accounted for and reported in another fund.

QSCB Retirement Fund - This is a debt retirement fund that accounts for the payments of the Qualified School Construction Bonds when the bonds and the interest becomes due.

All other governmental funds not meeting the criteria established for major funds are presented in the other governmental column of the fund financial statements.

Additionally, the school district reports the following fund types:

GOVERNMENTAL FUNDS

Special Revenue Funds - Special Revenue Funds are used to account for and report the proceeds of specific revenue sources that are restricted or committed to expenditure for specified purposes other than debt service or capital projects.

Capital Projects Funds - Capital Projects Funds are used to account for and report financial resources that are restricted, committed, or assigned to expenditure for capital outlays, including the acquisition or construction of capital facilities and other capital assets.

Debt Service Funds - Debt Service Funds are used to account for and report financial resources that are restricted, committed, or assigned to expenditure for principal and interest.

C. Measurement Focus, Basis of Accounting, and Financial Statement Presentation

In the government-wide Statement of Net Position and Statement of Activities, governmental activities are presented using the economic resources measurement focus and the accrual basis of accounting. Revenues are recorded when earned, and expenses are recorded when a liability is incurred or economic asset used, regardless of the timing of the related cash flows. Grants and similar items are recognized as revenue as soon as all eligibility requirements imposed by the provider have been met.

Governmental fund financial statements are reported using the current financial resources measurement focus and the modified accrual basis of accounting. Revenues are recognized as soon as they are both measurable and available. Measurable means knowing or being able to reasonably estimate the amount. Revenues are considered to be available when they are collectible within the current period or soon enough thereafter to pay liabilities of the current period. For this purpose, the government considers revenues to be available if they are collected within 60 days after year end. Expenditures (including capital outlay) are recorded when the related fund liability is incurred, as under accrual accounting. However, debt service expenditures, as well as expenditures related to compensated absences and judgments, are recorded only when payment is due.

Federal grants and assistance awards made on the basis of entitlement periods are recorded as receivables and revenues when entitlement occurs. Federal reimbursement type grants are recorded as revenues when the related expenditures are recognized. Use of grant resources is conditioned upon compliance with terms of the grant agreements and applicable federal regulations, which include subjecting grants to financial and compliance audits.

Alcorn School District

Notes to the Financial Statements
For Year Ended June 30, 2025

Property taxes, intergovernmental revenues (shared revenues, grants and reimbursements from other governments) and interest associated with the current fiscal period are all considered to be susceptible to accrual.

Ad valorem property taxes are levied by the governing authority of the county on behalf of the school district based upon an order adopted by the school board of the school district requesting an ad valorem tax effort in dollars. Since the taxes are not levied and collected by the school district, the revenues to be generated by the annual levies are not recognized until the taxes are actually collected by the tax levying authority.

Capital asset acquisitions are reported as expenditures in governmental funds. Proceeds of general long-term debt and acquisitions under leases are reported as other financing sources.

Under the terms of grant agreements, the District funds certain programs by a combination of specific cost-reimbursement grants and general revenues. Thus, when program expenses are incurred, there is both restricted and unrestricted net position available to finance the program. It is the District's policy to first apply cost-reimbursement grant resources to such programs and then general revenues.

The effect of inter-fund activity has been eliminated from the government-wide statements.

Revenues from the Mississippi Student Funding Formula are appropriated on a fiscal year basis and are recorded at the time the revenues are received from the State of Mississippi.

The account classifications used in the financial statements conform to the broad classifications recommended in *Governmental Accounting, Auditing, and Financial Reporting*, issued in 2012 by the Government Finance Officers Association and are consistent with the broad classifications recommended in *Financial Accounting for Local and State School Systems, 2014*, issued by the U.S. Department of Education.

D. Encumbrances

An encumbrance system is maintained to account for commitments or assignments resulting from approved purchase orders, work orders and contracts. However, the school district attempts to liquidate all encumbrances at year-end. Encumbrances outstanding at year-end are not reported within committed or assigned fund balances.

E. Assets, liabilities, deferred outflows/inflows, and net position/fund balances

1. Cash, Cash equivalents and Investments

Cash and cash equivalents

The district's cash and cash equivalents are considered to be cash on hand, demand deposits, and short-term investments with original maturities of three months or less from the date of acquisition. The school district deposits excess funds in the financial institutions selected by the school board. State statutes specify how these depositories are to be selected.

Investments

The school district can invest its excess funds, as permitted by Section 29-3-113, Miss. Code Ann. (1972), in interest-bearing deposits or other obligations of the types described in Section 27-105-33, Miss. Code Ann. (1972), or in any other type investment in which any

Alcorn School District

Notes to the Financial Statements
For Year Ended June 30, 2025

other agency, instrumentality or subdivision of the State of Mississippi may invest, except that 100% of said funds are authorized to be so invested.

For accounting purposes, certificates of deposit are classified as investments if they have an original maturity greater than three months when acquired.

Investments for the district are reported at fair market value.

2. Receivables and payables

Activities between funds that are representative of lending/borrowing arrangements outstanding at the end of the fiscal year are referred to as either "due to/from other funds" (i.e., the current portion of inter-fund loans) or "advances to/from other funds" (i.e. the non-current portion of inter-fund loans). All other outstanding balances between funds are reported as "due to/from other funds."

Advances between funds, as reported in the fund financial statements, are offset by a fund balance reserve account in applicable governmental funds to indicate that they are not available for appropriation and are not expendable available financial resources.

3. Due from Other Governments

Due from other governments represents amounts due from the State of Mississippi and various grants and reimbursements from other governments.

4. Inventories and Prepaid Items

Donated commodities are received from the USDA and are valued at USDA cost. Other inventories are valued at cost (calculated on the first-in, first-out basis). The costs of governmental fund type inventories are reported as expenditures when purchased.

Prepaid items, such as prepaid insurance, are not reported for governmental fund types since the costs of such items are accounted for as expenditures in the period of acquisition.

5. Restricted Assets

Certain resources set aside for repayment of debt are classified as restricted assets on the Statement of Net Position because their use is limited by applicable debt statutes, e.g. Qualified School Construction Bond sinking funds. Also, the nonexpendable portion of the Permanent Fund, if applicable, is classified as restricted assets because the 16th Section Principal fund is not available for use by the district except as provided for under state statute for loans from this fund.

6. Capital Assets

Capital assets include land, improvements to land, easements, water rights, timber rights, buildings, building improvements, vehicles, machinery, equipment, works of art and historical treasures, infrastructure, and all other tangible or intangible assets that are used in operations and that have initial useful lives extending beyond a single reporting period. Capital assets are reported in the applicable governmental or business type activities columns in the government-wide Statement of Net Position. Capital assets are recorded at historical cost or estimated historical cost based on appraisals or deflated current replacement cost. Donated capital assets are recorded at estimated fair market value at the date of donation. The costs of normal maintenance and repair that do not add to the value of the asset or materially extend asset lives are not capitalized. Capital assets are defined by the District as assets with an initial, individual cost in excess of the thresholds in the table below.

Alcorn School District

Notes to the Financial Statements
For Year Ended June 30, 2025

Capital acquisition and construction are reflected as expenditures in the Governmental Fund statements and the related assets are reported as capital assets in the governmental activities' column in the government-wide financial statements.

Depreciation is calculated on the straight-line basis for all assets, except land.

The following schedule details the capitalization thresholds:

	Capitalization Policy	Estimated Useful Life
Land	\$ 0	0
Buildings	50,000	40 years
Building improvements	25,000	20 years
Improvements other than buildings	25,000	20 years
Mobile equipment	5,000	5-10 years
Furniture and equipment	5,000	3-7 years
Leased assets	**	**
Subscription IT asset	**	**

(**)The estimated useful life is the term of the lease or subscription agreement. There is no mandated maximum amortization period. Intangible assets with indefinite useful lives should not be amortized.

The term 'depreciation' includes the amortization of intangible assets.

7. Deferred outflows/inflows of resources

In addition to assets, the statement of financial position will sometimes report a separate section for deferred outflows of resources. This separate financial statement element, deferred outflows of resources, represents a consumption of net position that applies to a future period(s) and so will not be recognized as an outflow of resources (expense/expenditure) until then. The district reports \$16,521,910 of deferred outflows related to its pension plan and \$764,272 of deferred outflows related to its OPEB plan.

In addition to liabilities, the statement of financial position will sometimes report a separate section for deferred inflows of resources. This separate financial statement element, deferred inflows of resources, represents an acquisition of net position that applies to a future period(s) and so will not be recognized as an inflow of resources (revenue) until that time. The district reports \$87,406 of deferred inflows related to its pension plan and \$556,898 of deferred inflows related to its OPEB plan.

See Note 13 for further details.

8. Compensated Absences

Employees of the school district accumulate sick leave at a minimum amount as required by state law. A greater amount may be provided by school district policy provided that it does not exceed the provisions for leave as provided in Sections 25-3-93 and 25-3-95. Some employees are allowed personal leave and/or vacation leave in accordance with school district policy. The district pays for unused leave for employees as required by Section 37-7-307(5), Miss. Code Ann. (1972).

Alcorn School District

Notes to the Financial Statements
For Year Ended June 30, 2025

The liability for these compensated absences is recorded as a long-term liability in the government-wide statements. A liability is recorded when each of the following have occurred: the leave is attributable to services already rendered, the leave accumulates and carries forward from one reporting period to the next, the leave is more likely than not to be used for time off or otherwise paid in cash or settled through noncash means, and the leave that has been used but not yet been paid in cash or settled through noncash means. The current portion of this liability is estimated based on historical trends. In the fund financial statements, governmental funds report the liability for compensated absences from expendable available financial resources only if the payable has matured, for example, an employee retires.

9. Leases

The Governmental Accounting Standards Board (GASB) issued Statement No. 87, Leases (GASB 87) to establish a single leasing model for accounting and reporting purposes. This guidance is intended to enhance the accountability, consistency and comparability of lease activities reported by governments. GASB 87 was implemented during fiscal year 2022.

The school district uses its estimated incremental borrowing rate to calculate the present value of lease payments when the rate implicit in the lease is not known.

10. Subscription-Based Information Technology Arrangements

The Governmental Accounting Standards Board (GASB) issued Statement No. 96, Subscription-Based Information Technology Arrangements (SBITAs) (GASB 96) to establish uniform accounting and financial reporting requirements for SBITAs, to improve comparability of financial statements among governments that have entered into SBITAs, and to enhance understandability, reliability, relevance and consistency of information about SBITAs. GASB 96 was implemented during fiscal year 2023.

11. Long-term Liabilities and Bond Discounts/Premiums

In the government-wide financial statements, outstanding debt is reported as liabilities. Bond discounts or premiums and the difference between reacquisition price and the net carrying value of refunded debt are capitalized and amortized over the terms of the respective bonds using a method that approximates the effective interest method.

The governmental fund financial statements recognize the proceeds of debt and premiums as other financing sources of the current period. Issuance costs are reported as expenditures. See Note 7 for details.

12. Pensions

For purposes of measuring the net pension liability, deferred outflows of resources and deferred inflows of resources related to pensions, and pension expense, information about the fiduciary net position of the Public Employees' Retirement System (PERS) and additions to/deductions from PERS' fiduciary net position have been determined on the same basis as they are reported by PERS. For this purpose, the benefit payments (including refunds of employee contributions) are recognized when due and payable in accordance with the benefit terms. Investments are reported at fair value.

13. Postemployment Benefits Other than Pensions (OPEB)

For purposes of measuring the net OPEB liability, deferred outflows of resources and deferred inflows of resources related to OPEB, and OPEB expense, information about the fiduciary net position of the State and School Employees' Life and Health Plan (OPEB Plan) and additions to/deductions from the OPEB Plan's fiduciary net position have been determined on the same basis

Alcorn School District

Notes to the Financial Statements
For Year Ended June 30, 2025

as they are reported by the OPEB Plan. For this purpose, benefit payments are recorded when the OPEB benefits come due. Investments are reported at fair value as determined by the state.

14. Fund Balances

Fund balance for governmental funds is reported in classifications that comprise a hierarchy based primarily on the extent to which the government is bound to honor constraints on the specific purposes for which amounts in those funds can be spent.

Governmental fund balance is classified as nonspendable, restricted, committed, assigned or unassigned. Following are descriptions of fund classifications used by the district:

Nonspendable fund balance includes items that cannot be spent. This includes activity that is not in a spendable form (inventories, prepaid amounts, long-term portion of loans/notes receivable, or property held for resale unless the proceeds are restricted, committed, or assigned) and activity that is legally or contractually required to remain intact, such as a principal balance in a permanent fund.

Restricted fund balance includes amounts that have constraints placed upon the use of the resources either by an external party or imposed by law through a constitutional provision or enabling legislation.

Committed fund balance includes amounts that can be used only for the specific purposes pursuant to constraints imposed by a formal action of the School Board, the District's highest level of decision-making authority. This formal action is board approval of commitments. Currently there is no committed fund balance for this school district.

Assigned fund balance includes amounts that are constrained by the District's intent to be used for a specific purpose, but are neither restricted nor committed. For governmental funds, other than the general fund, this is the residual amount within the fund that is not restricted or committed. Assignments of fund balance are created by management pursuant to authorization established by the school board.

Unassigned fund balance is the residual classification for the general fund. This classification represents fund balance that has not been assigned to other funds and that has not been restricted, committed, or assigned to specific purposes within the general fund. The general fund should be the only fund that reports a positive unassigned fund balance amount. In other governmental funds, it may be necessary to report a negative unassigned fund balance.

When an expenditure/expense is incurred for purposes for which both restricted and unrestricted (committed, assigned, or unassigned) resources are available, it is the District's general policy to use restricted resources first. When expenditures/expenses are incurred for purposes for which unrestricted (committed, assigned, and unassigned) resources are available, and amounts in any of these unrestricted classifications could be used, it is the District's general policy to spend committed resources first, followed by assigned amounts, and then unassigned amounts.

15. Accounting Standards Update

GASB 101, Compensated Absences, was implemented during the 2025 fiscal year. The objective of this Statement is to better meet the information needs of financial statement users by updating the recognition and measurement guidance for compensated absences. That objective is achieved by aligning the recognition and measurement guidance under a unified model and by amending certain previously required disclosures.

Notes to the Financial Statements
For Year Ended June 30, 2025

Note 2 – Cash and Cash Equivalents, Cash with Fiscal Agents, and Investments

The district follows the practice of aggregating the cash assets of various funds to maximize cash management efficiency and returns. Restrictions on deposits and investments are imposed by statutes as follows:

Deposits. The school board must advertise and accept bids for depositories no less than once every three years as required by Section 37-7-333, Miss. Code Ann. (1972). The collateral pledged for the school district's deposits in financial institutions is held in the name of the State Treasurer under a program established by the Mississippi State Legislature and is governed by Section 27-105-5, Miss. Code Ann. (1972). Under this program, the entity's funds are protected through a collateral pool administered by the State Treasurer. Financial institutions holding deposits of public funds must pledge securities as collateral against those deposits. In the event of failure of a financial institution, securities pledged by that institution would be liquidated by the State Treasurer to replace the public deposits not covered by the Federal Deposit Insurance Corporation.

Investments. Section 29-3-113 and 37-59-43, Miss. Code Ann. (1972), authorizes the school board to invest excess funds in the types of investments authorized by Section 27-105-33(d) and (e), Miss. Code Ann. (1972). This section permits the following types of investments: (a) certificates of deposit or interest bearing accounts with qualified state depositories; (b) direct United States Treasury obligations; (c) United States Government agency, United States Government instrumentality or United States Government sponsored enterprise obligations, not to exceed fifty percent of all monies invested with maturities of thirty days or longer; (d) direct security repurchase agreements and reverse direct security repurchase agreements of any federal book entry of only those securities enumerated in (b) and (c) above; (e) direct obligations issued by the United States of America that are deemed to include securities of, or other interests in, any open-end or closed-end management type investment company or investment trust approved by the State Treasurer and the Executive Director of the Department of Finance and Administration, not to exceed twenty percent of invested excess funds. Investment income on bond funds (Capital Projects), bond sinking funds (Debt Service Funds) and sixteenth section principal funds (Permanent Funds) must be credited to those funds. Investment income of \$100 or more of any fund must be credited to that fund. Investment income of less than \$100 can be credited to the General Fund.

Cash and Cash Equivalents

The carrying amount of the school district's deposits with financial institutions reported in the governmental funds was \$12,160,171.

Custodial Credit Risk - Deposits. Custodial credit risk is defined as the risk that, in the event of the failure of a financial institution, the district will not be able to recover deposits or collateral securities that are in the possession of an outside party. The district does not have a deposit policy for custodial credit risk. In the event of failure of a financial institution, securities pledged by that institution would be liquidated by the State Treasurer to replace the public deposits not covered by the Federal Deposit Insurance Corporation. Deposits above FDIC coverage are collateralized by the pledging financial institution's trust department or agent in the name of the Mississippi State Treasurer on behalf of the district. As of June 30, 2025, none of the district's bank balance was exposed to custodial credit risk.

Cash with Fiscal Agents

The carrying amount of school district's cash with fiscal agents held by financial institutions was \$117.

Alcorn School District

Notes to the Financial Statements
For Year Ended June 30, 2025

Investments

As of June 30, 2025, the district had the following investments.

Investment Type	Rating	Maturities (in years)	Fair Value
U.S. Government securities	AA+	1-5 years	\$ 2,097,301
Total			<u>\$ 2,097,301</u>

The district categorizes its fair value measurements within the fair value hierarchy established by generally accepted accounting principles. The hierarchy is based on the valuation inputs used to measure the fair value of the asset. Level 1 inputs are quoted prices in active markets for identical assets; Level 2 inputs are significant other observable inputs; Level 3 inputs are significant unobservable inputs.

The district has the following recurring fair value measurements as of June 30, 2025:

- U.S. government securities type of investments of \$2,097,301 are valued using quoted market prices (Level 1 inputs)

Interest Rate Risk. The district does not have a formal investment policy that limits investment maturities as a means of managing its exposure to fair value losses arising from increasing interest rates.

Credit Risk. State law limits investments to those prescribed in Sections 27-105-33(d) and 27-105-33(e), Miss. Code Ann. (1972). The district does not have a formal investment policy that would further limit its investment choices or one that addresses credit risk.

Custodial Credit Risk - Investments. Custodial credit risk is defined as the risk that, in the event of the failure of the counterparty, the district will not be able to recover the value of its investments or collateral securities that are in the possession of an outside party. The district does not have a formal investment policy that addresses custodial credit risk. As of June 30, 2025, the district did not have any investments to which this would apply.

Concentration of Credit Risk. Disclosure of investments by amount and issuer for any issuer that represents five percent or more of total investments is required. This requirement does not apply to investments issued or explicitly guaranteed by the U.S. government, investments in mutual funds and external investment pools, and other pooled investments. As of June 30, 2025, the district had the following investments:

Issuer	Fair Value	% of Total Investments
U.S. Government Securities	\$ 2,097,301	100%

Alcorn School District

Notes to the Financial Statements
For Year Ended June 30, 2025

Note 3 – Inter-fund Receivables, Payables and Transfers

The following is a summary of inter-fund transactions and balances:

A. Due From/To Other Funds

Receivable Fund	Payable Fund	Amount
General Fund	Other governmental funds	\$ 565,211
Total		<u>\$ 565,211</u>

The purpose of the inter-fund loans was to cover federal and state funds not received prior to year-end.

B. Inter-fund Transfers

Transfers Out	Transfers In	Amount
General Fund	Other governmental funds	\$ 443,551
Other governmental funds	General Fund	26,019
	Other governmental funds	<u>2,793</u>
Total		<u>\$ 472,363</u>

The primary reason for the interfund transfers was for debt service requirements, federal grant allocations and the funding of various programs within the district.

Note 4 – Restricted Assets

The restricted assets represent the cash balance, totaling \$422,430 of the debt service funds that is restricted for future debt service requirements. In addition, restricted assets also includes the cash balance, totaling \$592,588, of unspent loan proceeds.

Also, the restricted assets represent the cash with fiscal agents and investment balance, totaling \$117 and \$2,097,301 respectively, of the QSCB Sinking Fund

Alcorn School District

Notes to the Financial Statements
For Year Ended June 30, 2025

Note 5 – Capital Assets

The following is a summary of changes in capital assets for governmental activities:

	Balance 7/1/2024	Increases	Decreases	Completed Construction	Adjustments	Balance 6/30/2025
Governmental Activities:						
<u>Non-depreciable capital assets:</u>						
Land	\$ 235,426	\$ -	\$ -	\$ -	\$ -	235,426
Construction-in-progress	7,236	324,623	-	(331,859)	-	-
Total non-depreciable capital assets	242,662	324,623	-	(331,859)	-	235,426
<u>Depreciable capital assets:</u>						
Buildings	27,329,173	-	-	-	-	27,329,173
Building improvements	9,558,612	-	-	111,000	38,749	9,708,361
Improvements other than buildings	2,292,070	-	-	220,859	(57,421)	2,455,508
Mobile equipment	4,951,984	421,026	(183,116)	-	(35,125)	5,154,769
Furniture and equipment	2,307,270	70,987	(72,843)	-	41,482	2,346,896
Total depreciable capital assets	46,439,109	492,013	(255,959)	331,859	(12,315)	46,994,707
<u>Less accumulated depreciation for:</u>						
Buildings	17,283,337	269,942	-	-	-	17,553,279
Building improvements	1,957,070	340,287	-	-	23,123	2,320,480
Improvements other than buildings	230,865	98,220	-	-	21,339	350,424
Mobile equipment	3,319,374	288,900	(164,804)	-	(35,314)	3,408,156
Furniture and equipment	1,734,845	154,074	(45,151)	-	15,056	1,858,824
Total accumulated depreciation	24,525,491	1,151,423	(209,955)	-	24,204	25,491,163
Total depreciable capital assets, net	21,913,618	(659,410)	(46,004)	331,859	(36,519)	21,503,544
Governmental activities capital assets, net	\$ 22,156,280	\$ (334,787)	\$ (46,004)	\$ -	\$ (36,519)	\$ 21,738,970
Lease and Subscription IT assets, net (Note 6)						451,323
Total capital assets, net, as reported in the statement of net position						\$ 22,190,293

Depreciation expense was charged to the following governmental functions:

	Amount
Governmental activities:	
Instruction	\$ 675,565
Support services	363,206
Non-instructional	112,652
Total depreciation expense - Governmental activities	\$ 1,151,423

Alcorn School District

Notes to the Financial Statements
For Year Ended June 30, 2025

Note 6 – Intangible Right-to-Use Leases and Subscription Based IT Assets

A summary of lease and subscription-based IT asset activity during the year ended June 30, 2025 is as follows:

	Balance 7/1/2024	Additions	Adjustments	Balance 6/30/2025
<u>Lease assets:</u>				
Furniture and equipment	\$ 246,288	\$ -	\$ 134,049	\$ 380,337
Total lease assets	<u>246,288</u>	<u>-</u>	<u>134,049</u>	<u>380,337</u>
<u>Less accumulated amortization:</u>				
Lease assets:				
Furniture and equipment	107,751	100,053	-	207,804
Total accumulated amortization	<u>107,751</u>	<u>100,053</u>	<u>-</u>	<u>207,804</u>
Total lease assets, net	<u>138,537</u>	<u>(100,053)</u>	<u>134,049</u>	<u>172,533</u>
Subscription IT assets	593,013	221,409	8,116	822,538
Less accumulated amortization	<u>242,981</u>	<u>300,767</u>	<u>-</u>	<u>543,748</u>
Subscription IT assets, net	<u>350,032</u>	<u>(79,358)</u>	<u>8,116</u>	<u>278,790</u>
Total lease and subscription IT assets, net	\$ 488,569	\$ (179,411)	\$ 142,165	\$ 451,323

Amortization expense was charged to the instruction expense governmental function in the government-wide financial statements.

A summary of lease and subscription IT liabilities during the year ended June 30, 2025 is as follows:

	Balance 7/1/2024	Additions	Deductions	Adjustments	Balance 6/30/2025
Lease liabilities	\$ 190,000	\$ -	\$ 139,541	\$ 134,049	\$ 184,508
Subscription IT liabilities	<u>190,843</u>	<u>221,409</u>	<u>309,459</u>	<u>8,116</u>	<u>110,909</u>
Total	<u>\$ 380,843</u>	<u>\$ 221,409</u>	<u>\$ 449,000</u>	<u>\$ 142,165</u>	<u>\$ 295,417</u>

Leases

The school district is a lessee for various noncancellable leases of equipment. For leases that have a maximum possible term of 12 months or less at commencement, the school district recognizes expense based on the provisions of the lease contract. For all other leases, other than short term, the school district recognized a lease and an intangible right-to-use lease asset.

At lease commencement, the school district initially measures the lease liability at the present value of payments expected to be made during the lease term. Subsequently, the lease liability is reduced by the principal portion of lease payments made. The lease asset is initially measured as the initial amount of the lease liability, plus lease payments made at or before the lease commencement date, plus any initial direct costs ancillary to placing the underlying asset into service, less any lease incentives received at or before the lease commencement date. Subsequently, the lease asset is amortized in amortization expense on a straight-line basis over the shorter of the lease term or the useful life of the underlying asset.

Alcorn School District

Notes to the Financial Statements
For Year Ended June 30, 2025

The school district generally uses its estimated incremental borrowing rate as the discount rate for leases unless the rate that the lessor charges is known. The estimated incremental borrowing rate is the rate the district would expect to obtain for a similar financed purchase at the date of lease inception.

The lease term includes the noncancellable period of the lease plus any additional periods covered by either a school district or lessor option to extend for which it is reasonably certain to be exercised or terminate for which it is reasonably certain to not be exercised. Periods in which both the school district and the lessor have a unilateral option to terminate (or if both parties have agreed to extend) are excluded from the lease term.

As Lessee:

Equipment leases:

The district has entered into a lease agreement for copy machines. For purposes of this note disclosure, leased assets and liabilities are grouped into one category.

Description	Discount Rate	Term	Issue Date	Maturity Date	Amount Issued	Amount Outstanding
		48				
Copiers	5.00%	Months	10/1/2022	9/1/2026	\$ 552,104	\$ 184,508

The following is a schedule by years of the total payments due on this debt:

Year Ending June 30	Principal	Interest	Total
2026	\$ 146,681	\$ 9,019	\$ 155,700
2027	37,827	1,098	38,925
Total	\$ 184,508	\$ 10,117	\$ 194,625

Subscription Based IT Arrangements

The school district has contracts for multiple subscription-based IT arrangements for items such as software, user seats and various site licenses. For contracts that have a maximum possible term of 12 months or less at commencement, the school district recognizes expense based on the provisions of the contract. For all other contracts, other than short term, the school district recognized a subscription liability and a right to use subscription asset.

At commencement, the school district initially measures the liability at the present value of payments expected to be made during the subscription term. Subsequently, the liability is reduced by the principal portion of payments made. The asset is initially measured as the sum of the initial subscription liability amount, payments made to the SBITA vendor before commencement of the subscription term, and capitalizable implementation costs, less any incentives received from the SBITA vendor at or before the commencement of the subscription term. Subsequently, the subscription asset is amortized in amortization expense on a straight-line basis over the shorter of the subscription term or the useful life of the underlying IT asset.

The school district generally uses its estimated incremental borrowing rate as the discount rate unless the rate that the vendor charges is known. The estimated incremental borrowing rate is the rate the district would be charged for borrowing the subscription payment amounts during the subscription term.

Alcorn School District

Notes to the Financial Statements
For Year Ended June 30, 2025

The subscription term includes the noncancellable period of the contract plus any additional periods covered by either a school district or vendor option to extend for which it is reasonably certain to be exercised or terminate for which it is reasonably certain to not be exercised. Periods in which both the school district and the vendor have a unilateral option to terminate (or if both parties have agreed to extend) are excluded from the subscription term.

For purposes of this note disclosure, subscription-based IT assets and liabilities are grouped into one category.

Description	Discount Rate	Term	Maturity Date	Amount Issued	Amount Outstanding
Subscription based IT liabilities	5.00%	1-4 years	6/30/2027	<u>\$ 787,631</u>	<u>\$ 110,909</u>

The following is a schedule by years of the total payments due on this debt:

Year Ending June 30	Principal	Interest	Total
2026	\$ 90,447	\$ 5,466	\$ 95,913
2027	20,462	1,000	21,462
Total	<u>\$ 110,909</u>	<u>\$ 6,466</u>	<u>\$ 117,375</u>

Alcorn School District

Notes to the Financial Statements
For Year Ended June 30, 2025

Note 7 – Long-term Liabilities

The following is a summary of changes in long-term liabilities and other obligations for governmental activities:

	Balance 7/1/2024	Additions	Reductions	Adjustments	Balance 6/30/2025	Amounts due within one year
A. Three mill notes payable	\$ 2,586,000	\$ -	\$ (451,000)	\$ -	\$ 2,135,000	\$ 467,000
Premium on notes	71,088	-	(11,848)	-	59,240	11,848
B. Installment purchase loans payable	496,077	-	(496,077)	-	-	-
C. Qualified school construction bonds payable	2,160,000	-	-	-	2,160,000	2,160,000
D. Other loans payable	259,194	850,000	(113,799)	-	995,395	113,799
E. Compensated absences payable	365,267	-	(70,311)	1,111,270	1,406,226	70,311
Total	\$ 5,937,626	\$ 850,000	\$ (1,143,035)	\$ 1,111,270	\$ 6,755,861	\$ 2,822,958

The change in the compensated absences liability is presented as a net change.

The adjustments above to compensated absences were a result of retroactively implementing GASB 101.

A. Three mill notes payable

Debt currently outstanding is as follows:

Description	Interest Rate	Issue Date	Maturity Date	Amount Issued	Amount Outstanding
Limited Tax Notes, Series 2017	3.00%	9/12/2017	9/1/2029	\$ 4,250,000	\$ 1,930,000
Limited Tax Notes, Series 2021	1.66%	3/18/2021	3/18/2027	1,000,000	205,000
Total				\$ 5,250,000	\$ 2,135,000

The following is a schedule by years of the total payments due on this debt:

Series 2017:

Year Ending June 30	Principal	Interest	Total
2026	\$ 365,000	\$ 52,200	\$ 417,200
2027	375,000	41,325	416,325
2028	385,000	29,925	414,925
2029	395,000	18,225	413,225
2030	410,000	6,150	416,150
Total	\$ 1,930,000	\$ 147,825	\$ 2,077,825

This debt will be retired from the three mill debt service fund.

Alcorn School District

Notes to the Financial Statements
For Year Ended June 30, 2025

Series 2021:

Year Ending June 30	Principal	Interest	Total
2026	\$ 102,000	\$ 3,403	\$ 105,403
2027	103,000	1,710	104,710
Total	<u>\$ 205,000</u>	<u>\$ 5,113</u>	<u>\$ 210,113</u>

This debt will be retired from the three mill debt service fund.

Total all issues:

Year Ending June 30	Principal	Interest	Total
2026	\$ 467,000	\$ 55,603	\$ 522,603
2027	478,000	43,035	521,035
2028	385,000	29,925	414,925
2029	395,000	18,225	413,225
2030	410,000	6,150	416,150
Total	<u>\$ 2,135,000</u>	<u>\$ 152,938</u>	<u>\$ 2,287,938</u>

B. Installment purchase loans payable

This debt was retired during the year.

C. Qualified school construction bonds payable

As more fully explained in Note 14, debt has been issued by the Alcorn School District that qualifies as Qualified School Construction bonds. Debt currently outstanding is as follows:

Description	Interest Rate	Issue Date	Maturity Date	Amount Issued	Amount Outstanding
Qualified school construction bonds payable	2.90%	11/19/2010	11/15/2025	\$2,160,000	\$2,160,000
Total				<u>\$2,160,000</u>	<u>\$2,160,000</u>

The following is a schedule by years of the total payments due on this debt:

Year Ending June 30	Principal	Interest	Total
2026	\$ 2,160,000	\$ 126,360	\$ 2,286,360
Total	<u>\$ 2,160,000</u>	<u>\$ 126,360</u>	<u>\$ 2,286,360</u>

This debt will be retired from the QSCB Sinking Fund

Alcorn School District

Notes to the Financial Statements
For Year Ended June 30, 2025

D. Other loans payable

In accordance with MS Code 37-47-24, the district has received an Educational Facilities Revolving Loan. The Educational Facilities Revolving Loan Fund (EFRLF) is a new initiative passed by the Mississippi Legislature designed to support public education infrastructure. Specifically, the program makes funds available for school districts to pay down district debt, repair or renovate buildings, or build new Pre-Kindergarten or Career and Technical Education Centers across the state.

Description	Interest Rate	Issue Date	Maturity Date	Amount Issued	Amount Outstanding
1. EFRLF, 2024 series	0%	5/1/2024	5/1/2033	\$ 287,993	\$ 230,395
2. EFRLF, 2025 series	0%	7/31/2024	5/1/2034	850,000	765,000
Total				<u>\$ 1,137,993</u>	<u>\$ 995,395</u>

The following is a schedule by years of the total payments due on this debt:

2024 series:

Year Ending June 30	Principal	Interest	Total
2026	\$ 28,799	\$ -	\$ 28,799
2027	28,799	-	28,799
2028	28,799	-	28,799
2029	28,799	-	28,799
2030	28,799	-	28,799
2031-2033	86,400	-	86,400
Total	<u>\$ 230,395</u>	<u>\$ -</u>	<u>\$ 230,395</u>

This debt will be retired from the District Maintenance Fund.

2025 series:

Year Ending June 30	Principal	Interest	Total
2026	\$ 85,000	\$ -	\$ 85,000
2027	85,000	-	85,000
2028	85,000	-	85,000
2029	85,000	-	85,000
2030	85,000	-	85,000
2031-2034	340,000	-	340,000
Total	<u>\$ 765,000</u>	<u>\$ -</u>	<u>\$ 765,000</u>

This debt will be retired from the District Maintenance Fund.

Total on all series:

Alcorn School District

Notes to the Financial Statements
For Year Ended June 30, 2025

Year Ending June 30	Principal	Interest	Total
2026	\$ 113,799	\$ -	\$ 113,799
2027	113,799	-	113,799
2028	113,799	-	113,799
2029	113,799	-	113,799
2030	113,799	-	113,799
2031-2034	426,400	-	426,400
Total	\$ 995,395	\$ -	\$ 995,395

E. Compensated absences payable

As more fully explained in Note 1(E)(8), compensated absences payable is adjusted on an annual basis as required by Section 37-7-307(5), Miss. Code Ann. (1972). Compensated absences will be paid from the fund from which the employees' salaries were paid.

Note 8 – Defined Benefit Pension Plan

General Information about the Pension Plan

Plan Description. The school district contributes to the Public Employees' Retirement System of Mississippi (PERS), a cost-sharing multiple-employer defined benefit pension plan. PERS provides retirement and disability benefits, annual cost-of-living adjustments, and death benefits to plan members and beneficiaries. Plan provisions and the Board of Trustees' authority to determine contribution rates are established by Miss. Code Ann. Section 25-11-1 et seq., (1972, as amended) and may be amended only by the Mississippi Legislature. PERS issues a publicly available financial report that includes financial statements and required supplementary information. That report is available at www.pers.ms.gov.

Benefits provided. Membership in PERS is a condition of employment granted upon hiring for qualifying employees and officials of the State of Mississippi, state universities, community and junior colleges, and teachers and employees of the public school districts. For those persons employed by political subdivisions and instrumentalities of the State of Mississippi, membership is contingent upon approval of the entity's participation in PERS by the PERS' Board of Trustees. If approved, membership for the entity's employees is a condition of employment and eligibility is granted to those who qualify upon hiring. Participating members who are vested and retire at or after age 60 or those who retire regardless of age with at least 30 years of creditable service (25 years of creditable service for employees who became members of PERS before July 1, 2011) are entitled, upon application, to an annual retirement allowance payable monthly for life in an amount equal to 2.0 percent of their average compensation for each year of creditable service up to and including 30 years (25 years for those who became members of PERS before July 1, 2011), plus 2.5 percent for each additional year of creditable service with an actuarial reduction in the benefit for each year of creditable service below 30 years or the number of years in age that the member is below 65, whichever is less. Average compensation is the average of the employee's earnings during the four highest compensated years of creditable service. Benefits vest upon completion of eight years of membership service (four years of membership service for those who became members of PERS before July 1, 2007). PERS also provides certain death and disability benefits. A Cost-of-Living Adjustment (COLA) payment is made to eligible retirees and beneficiaries. The COLA is equal to 3.0 percent of the annual retirement allowance for each full fiscal year of retirement up to the year in which the retired member reaches age 60 (55 for those who became members of PERS before July 1, 2011), with 3.0 percent compounded for each fiscal year thereafter.

Alcorn School District

Notes to the Financial Statements
For Year Ended June 30, 2025

Contributions. PERS members are required to contribute 9.00% of their annual covered salary, and the school district is required to contribute at an actuarially determined rate. The employer's rate as of June 30, 2025 was 17.90% of annual covered payroll. Plan provisions and the Board of Trustees' authority to determine contribution rates are established by Section 25-11-1 of the Mississippi Code of 1972, as amended, and may be amended only by the Mississippi Legislature. The school district's contributions to PERS for the fiscal years ending June 30, 2025, 2024 and 2023 were \$3,551,231, \$3,974,339 and \$3,635,718, respectively, which equaled the required contributions for each year.

Pension Liabilities, Pension Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions

At June 30, 2025, the school district reported a liability of \$77,398,510 for its proportionate share of the net pension liability. The net pension liability was measured as of June 30, 2024, and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of that date. The District's proportion of the net pension liability was based on a projection of the school district's long-term share of contribution to the pension plan relative to projected contributions of all participating entities, actuarially determined. The school district's proportionate share used to calculate the June 30, 2025 net pension liability was .29806 percent, which was based on a measurement date of June 30, 2024. This was an increase of .01618 percent from its proportionate share used to calculate the June 30, 2024 net pension liability, which was based on a measurement date of June 30, 2023.

For the year ended June 30, 2025, the District recognized pension expense of \$12,523,185. At June 30, 2025 the District reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	\$ 4,102,304	\$ -
Net difference between projected and actual earnings on pension plan investments	-	35,418
Changes of assumptions	4,533,778	-
Changes in proportion and differences between District contributions and proportionate share of contributions	4,334,597	51,988
District contributions subsequent to the measurement date	3,551,231	-
Total	\$ <u>16,521,910</u>	\$ <u>87,406</u>

\$3,551,231 reported as deferred outflows of resources related to pensions resulting from school district contributions subsequent to the measurement date will be recognized as a reduction to the net pension liability in the year ended June 30, 2026. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Year ending June 30:	
2026	\$ 5,577,767
2027	7,257,801
2028	676,454
2029	(628,749)
Total	<u>\$ 12,883,273</u>

Alcorn School District

Notes to the Financial Statements
For Year Ended June 30, 2025

Actuarial assumptions. The total pension liability as of June 30, 2024 was determined by an actuarial valuation prepared as of June 30, 2023 and by the investment experience for the fiscal year ending June 30, 2024. The following actuarial assumptions are applied to all periods included in the measurement:

Inflation	2.40 percent
Salary increases	2.65 – 17.90 percent, including inflation
Investment rate of return	7.00 percent, net of pension plan investment expense, including inflation

Mortality rates for service retirees were based on the PubS.H-2010(B) Retiree Table with the following adjustments: For males, 95% of male rates up to age 60, 110% for ages 61 to 75 and 101% for ages above 77. For females, 84% of female rates up to age 72 and 100% for ages above 76. Mortality rates for disability retirees were based on the PubG.H-2010 Disabled Table adjusted 134% for males and 121% for females. Mortality rates for Contingent Annuitants were based on the PubS.H-2010(B) Contingent Annuitant Table, adjusted 97% for males and 110% for females. Mortality rates will be projected generationally using the MP-2020 projection scale to account for future improvements in life expectancy.

The actuarial assumptions used for the purposes of determining the total pension liability were based on the results of an actuarial experience study for the period July 1, 2018 to June 30, 2022. The experience report is dated April 21, 2023.

The long-term expected rate of return on pension plan investments was determined using a log-normal distribution analysis in which best-estimate ranges of expected future real rates of return (expected nominal returns, net of pension plan investment expense and the assumed rate of inflation) are developed for each major asset class. These ranges are combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage and by adding expected inflation. The most recent target asset allocation and best estimates of arithmetic real rates of return for each major asset class are summarized in the following table:

<u>Asset Class</u>	<u>Target Allocation</u>		<u>Long-Term Expected Real Rate of Return</u>	
Domestic Equity	25.00	%	5.15	%
International Equity	20.00		5.00	
Global Equity	12.00		5.15	
Fixed Income	18.00		2.75	
Real Estate	10.00		3.50	
Private Equity	10.00		6.25	
Infrastructure	2.00		3.85	
Private Credit	2.00		4.90	
Cash Equivalents	1.00		0.50	
Total	100	%		

Discount rate. The discount rate used to measure the total pension liability was 7.00 percent. The projection of cash flows used to determine the discount rate assumed that plan member contributions will be made at the current contribution rate (9.00%) and that employer contributions will be phased in to 19.90 percent over five fiscal years (17.90 percent for FYE 2025, 18.40 percent for FYE 2026, 18.90 percent for FYE 2027, 19.40 percent for FYE 2028, 19.90 percent for FYE 2029 and beyond). Based on those assumptions, the pension plan's fiduciary net position was projected to be available to make all projected future benefit payments of current plan members. Therefore, the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

Sensitivity of the District's proportionate share of the net pension liability to changes in the discount rate. The following table presents the District's proportionate share of the net pension liability calculated using

Alcorn School District

Notes to the Financial Statements
For Year Ended June 30, 2025

the discount rate of 7.00%, as well as what the District's proportionate share of the net pension liability would be if it were calculated using a discount rate that is 1-percentage-point lower (6.00%) or 1-percentage-point higher (8.00%) than the current rate:

	1% Decrease (6.00%)	Current Discount Rate (7.00%)	1% Increase (8.00%)
District's proportionate share of the net pension liability	\$ 100,319,732	\$ 77,398,510	\$ 58,639,225

Pension plan fiduciary net position. Detailed information about the pension plan's fiduciary net position is available in the separately issued PERS financial report.

Note 9 – Other Postemployment Benefits (OPEB)

General Information about the OPEB Plan.

Plan description. State law mandates that all state, public education, library, junior and community college and retiring employees be offered health and life benefit coverage through the State and School Employees' Life and Health Insurance Plan (the Plan). The Plan was established by Section 25-15-3 et seq., Mississippi Code Ann. (1972), which may be amended only by the State Legislature. The State and School Employees' Health Insurance Management Board (the Board) administers the Plan. The Board has the sole legal authority to promulgate rules and regulations governing the operations of the Plan within the confines of the law governing the Plan. The Plan is self-insured and is financed through premiums collected from employers, employees, retirees and COBRA participants. The Plan provides for Other Postemployment Benefits (OPEB) as a multiple-employer defined benefit OPEB plan. The plan issues a publicly available financial report that can be obtained at <http://knowyourbenefits.dfa.ms.gov/>.

Benefits provided.

The Plan was formed by the State Legislature to provide group health and life benefits to full-time active and retired employees of the State, agencies, universities, community/junior colleges, public school districts and public libraries. In addition, the spouse and/or children of covered employees and retirees, as well as surviving spouses and COBRA participants, may be eligible for health insurance coverage under the Plan. Benefits of the OPEB Plan consist of an implicit rate subsidy, which is essentially the difference between the average cost of providing health care benefits to retirees under age 65 and the average cost of providing health care benefits to all participants when premiums paid by retirees are not age adjusted. Employees' premiums are funded primarily by their employers. Retirees must pay their own premiums, as do active employees for spouse and dependent medical coverage. The Board has the sole authority for setting life and health insurance premiums for the Plan. Per Section 12-15-15 (10) Mississippi Code Ann. (1972), a retired employee electing to purchase retiree life and health insurance must pay the full cost of such insurance premium. If the Board determined actuarially that the premium paid by the participating retirees adversely affects the overall cost of the Plan to the State, then the Board may impose a premium surcharge, not to exceed 15%, upon such participating retired employees who are under the age for Medicare eligibility and who are initially employed before January 1, 2006. For participating retired employees who are under the age for Medicare eligibility and who are initially employed on or after January 1, 2006, the Board may impose a premium surcharge in an amount the Board determined actuarially to cover the full cost of insurance. The Plan offers a Base option and a Select option for health benefits for non-Medicare participants. The Plan includes a separate coverage level for Medicare eligible retirees, Medicare Eligible surviving spouses, and Medicare eligible dependents of retirees and surviving spouses.

Contributions.

The Board has the sole authority for setting life and health insurance premiums for the Plan. The required premiums vary based on the plan selected and the type of participant. Employers pay no premiums for

Alcorn School District

Notes to the Financial Statements
For Year Ended June 30, 2025

retirees while employees' premiums are funded primarily by their employer. Contributions to the OPEB plan from the District were \$100,693 for the year ended June 30, 2025.

OPEB Liabilities, OPEB Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources related to OPEB

At June 30, 2025, the District reported a liability of \$2,152,492 for its proportionate share of the net OPEB liability. The net OPEB liability was measured as of June 30, 2024, and the total OPEB liability used to calculate the net OPEB liability was determined by an actuarial valuation as of that date. The basis for the District's proportion is determined by comparing the employer's average monthly employees participating in the Plan with the total average employees participating in the Plan in the fiscal year of all employers. The allocation was utilized because the level of premiums contributed by each employer is the same for any employee regardless of plan participation elections made by the employee. At the measurement date of June 30, 2024, the District's proportion was .38520994 percent. This was an increase of .00028 percent from the proportionate share as of the measurement date of June 30, 2023.

For the year ended June 30, 2025, the District recognized OPEB expense of (\$46,399). At June 30, 2025, the District reported deferred outflows of resources and deferred inflows of resources related to OPEB from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	\$ 444,663	\$ 381,408
Net difference between projected and actual earnings on OPEB plan investments	85	-
Changes of assumptions	84,862	164,315
Changes in proportion and differences between District contributions and proportionate share of contributions	133,969	11,175
District contributions subsequent to the measurement date	100,693	-
Total	\$ 764,272	\$ 556,898

\$100,693 reported as deferred outflows of resources related to OPEB resulting from school district contributions subsequent to the measurement date will be recognized as a reduction to the net OPEB liability in the year ended June 30, 2026. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to OPEB will be recognized in OPEB expense as follows:

Year ending June 30:

2026	\$ (49,631)
2027	(8,306)
2028	37,653
2029	70,141
2030	50,123
2031	6,701
Total	\$ 106,681

Actuarial assumptions. The total OPEB liability was determined by an actuarial valuation as of June 30, 2024, using the following key actuarial assumptions and other inputs:

Alcorn School District

Notes to the Financial Statements
For Year Ended June 30, 2025

Inflation	2.40 percent
Salary increases	2.65-17.90 percent, including wage inflation
Municipal Bond Index Rate	
Measurement Date	3.94%
Prior Measurement Date	3.66%
Year FNP is projected to be depleted	
Measurement Date	2024
Prior Measurement Date	2023
Single Equivalent Interest Rate, net of OPEB plan investment expense, including price inflation	
Measurement Date	3.94%
Prior Measurement Date	3.66%
Health Care Cost Trends	
Medicare Supplement Claims	6.00% for 2025 decreasing to an ultimate rate of 4.50% by 2029 FYE
Pre-Medicare	

Mortality rates for service retirees were based on the PubS.H-2010(B) Retiree Table with the following adjustments: For males, 95% of male rates up to age 60, 110% for ages 61 to 75 and 101% for ages above 77. For females, 84% of female rates up to age 72 and 100% for ages above 76. Mortality rates for disability retirees were based on the PubG.H-2010 Disabled Table adjusted 134% for males and 121% for females. Mortality rates for Contingent Annuitants were based on the PubS.H-2010(B) Contingent Annuitant Table, adjusted 97% for males and 110% for females. Mortality rates will be projected generationally using the MP-2020 projection scale to account for future improvements in life expectancy.

The demographic actuarial assumptions used in the June 30, 2024 valuation were based on the results of the last actuarial experience study, dated April 21, 2023.

The remaining actuarial assumptions (e.g., initial per capita costs, health care cost trends, rate of plan participation, rates of plan election, etc.) used in the June 30, 2024 valuation were based on a review of recent plan experience done concurrently with the June 30, 2024 valuation.

The long-term expected rate of return on OPEB plan investments is 4.50%.

Discount rate. The discount rate used to measure the total OPEB liability at June 30, 2024 was 3.94 percent. Since the Prior Measurement Date, the Discount Rate has changed from 3.66% to 3.94%.

The trust was established on June 28, 2018 with an initial contribution of \$1,000,000. As of June 30, 2024, the trust has \$1,104,394. The fiduciary net position is projected to be depleted immediately, therefore, the Municipal Bond Index Rate is used in the determination of the discount rate for both the June 30, 2023 and the June 30, 2024 total OPEB liability. The discount rate used to measure the total OPEB liability at June 30, 2024 was based on a monthly average of the Bond Buyers General Obligation 20-year Municipal Bond Index Rate.

Sensitivity of the District's proportionate share of the net OPEB liability to changes in the discount rate. The following presents the District's proportionate share of the net OPEB liability, as well as what the District's proportionate share of the net OPEB liability would be if it were calculated using a discount rate that is 1-percentage-point lower (2.94 percent) or 1-percentage-point higher (4.94 percent) than the current discount rate:

Alcorn School District

Notes to the Financial Statements
For Year Ended June 30, 2025

	1% Decrease (2.94%)	Current Discount Rate (3.94%)	1% Increase (4.94%)
Net OPEB liability	\$ 2,346,514	\$ 2,152,492	\$ 1,983,172

Sensitivity of the District's proportionate share of the net OPEB liability to changes in the healthcare cost trend rates. The following presents the District's proportionate share of the net OPEB liability, as well as what the District's proportionate share of the net OPEB liability would be if it were calculated using healthcare cost trend rates that are 1-percentage-point lower or 1-percentage-point higher than the current healthcare cost trend rates:

	1% Decrease	Healthcare Cost Trend Rates Current	1% Increase
Net OPEB liability	\$ 2,010,546	\$ 2,152,492	\$ 2,310,740

OPEB plan fiduciary net position. Detailed information about the OPEB plan's fiduciary net position is available in a separately issued report that can be found at <http://knowyourbenefits.dfa.ms.gov/>.

Alcorn School District

Notes to the Financial Statements
For Year Ended June 30, 2025

Note 10 – Adjustments and Restatements of Beginning Balances

Error Correction

An error correction of (\$36,519) was made to balance capital assets to the subsidiary records, which resulted in an adjustment to beginning net position in the Government-Wide financial statements.

Change in Accounting Principle

During fiscal year 2025, the district implemented GASB 101, Compensated Absences, which resulted in an adjustment to beginning net position in the Government-Wide financial statements.

Adjustments to and Restatements of Beginning Balances

During fiscal year 2025, an error correction and a change in accounting principle resulted in adjustments to and restatements of beginning net position and fund balance, as follows:

Reporting Units Affected by Adjustments to and Restatements of Beginning Balances

	<u>Government-Wide</u>
	<u>Governmental</u>
	<u>Activities</u>
6/30/2024, as previously reported	\$ (26,885,879)
Error correction	(36,519)
Change in accounting principle	(1,111,270)
6/30/2024, as adjusted or restated	<u>\$ (28,033,668)</u>

Note 11 – Contingencies

Federal Grants – The school district has received federal grants for specific purposes that are subject to audit by the grantor agencies. Entitlements to these resources are generally conditional upon compliance with the terms and conditions of the grant agreements and applicable federal regulations, including the expenditure of resources for allowable purposes. Any disallowances resulting from the grantor audit may become a liability of the school district.

Litigation – The school district is party to legal proceedings, many of which occur in the normal course of governmental operations. It is not possible at the present time to estimate the outcome or liability, if any, of the school district with respect to the various proceedings. However, the school district's legal counsel believes that ultimate liability resulting from these lawsuits will not have a material adverse effect on the financial condition of the school district.

Notes to the Financial Statements
For Year Ended June 30, 2025

Note 12 – Risk Management

The school district is exposed to various risks of loss related to torts; theft of, damage to and destruction of assets; errors and omissions; injuries to employees; and natural disasters. The district carries commercial insurance for these risks. Settled claims resulting from these insured risks have not exceeded commercial insurance coverage in any of the past three fiscal years.

Participation in Public Entity Risk Pool

The school district is a member of the Mississippi School Boards Association Workers' Compensation Trust (MSBAWCT). The trust is a risk-sharing pool; such a pool is frequently referred to as a self-insurance pool. The trust consists of approximately 58 school districts and covers risks of loss arising from injuries to the members' employees. The Mississippi Workers' Compensation Commission requires that an indemnity agreement be executed by each member in a workers' compensation self-insurance pool for the purpose of jointly and severally binding the pool and each of the employers comprising the group to meet the workers' compensation obligations of each member. Each member of MSBAWCT contributes quarterly to a fund held in trust by Wells Fargo in Portland, Oregon. The funds in the trust account are used to pay any claim up to \$750,000. For a claim exceeding \$750,000, MSBAWCT has insurance which will pay the excess to the statutory amount required by the Mississippi Workers' Compensation Commission Act. If total claims during a year were to deplete the trust account, then the member school districts would be required to pay for the deficiencies. The district has not had an additional assessment for excess losses incurred by the pool.

Note 13 – Effect of Deferred Amounts on Net Position

The unrestricted net position amount of (\$55,460,625) includes the effect of deferring the recognition of expenses resulting from a deferred outflow from pensions. A portion of the deferred outflow of resources related to pension in the amount of \$3,551,231 resulting from the school district contribution subsequent to the measurement date will be recognized as a reduction of the net pension liability in the year ended June 30, 2026. The \$12,970,679 balance of deferred outflow of resources related to pensions, at June 30, 2025 will be recognized as an expense and will decrease the unrestricted net position over the next 3 years.

The unrestricted net position amount of (\$55,460,625) includes the effect of deferring the recognition of revenue resulting from a deferred inflow from pensions. The \$87,406 balance of deferred inflow of resources related to pensions, at June 30, 2025 will be recognized as revenue/reduction in expense and will increase the unrestricted net position over the next 4 years.

The unrestricted net position amount of (\$55,460,625) includes the effect of deferring the recognition of expenses resulting from a deferred outflow from OPEB. A portion of the deferred outflow of resources related to OPEB in the amount of \$100,693 resulting from the school district contribution subsequent to the measurement date will be recognized as a reduction of the net OPEB liability in the year ended June 30, 2026. The \$663,579 balance of deferred outflow of resources related to OPEB, at June 30, 2025 will be recognized as an expense and will decrease the unrestricted net position over the next 6 years.

The unrestricted net position amount of (\$55,460,625) includes the effect of deferring the recognition of revenue resulting from a deferred inflow from OPEB. The \$556,898 balance of deferred inflow of resources related to OPEB, at June 30, 2025 will be recognized as revenue/reduction in expense and will increase the unrestricted net position over the next 6 years.

Alcorn School District

Notes to the Financial Statements
For Year Ended June 30, 2025

Note 14 – Qualified School Construction Bonds

Section 1521 of the American Recovery and Reinvestment Act (ARRA) of 2009 provides for a source of capital at no or at nominal interest rates for costs incurred by certain public schools in connection with the construction, rehabilitation or repair of a public school facility or for the acquisition of land where a school will be built. Investors receive Federal income tax credits at prescribed tax credit rates in lieu of interest, which essentially allows state and local governments to borrow without incurring interest costs. While Qualified School Construction Bonds (QSCBs) are intended to be interest free to a borrower, the ARRA legislation allows a lender to charge supplemental interest, and such supplemental interest is the responsibility of the Alcorn School District.

When the stated interest rate on the QSCB results in interest payments that exceed the supplemental interest payments discussed in the preceding paragraph, the Alcorn School District may apply for a direct cash subsidy payment from the U.S. Treasury which is intended to reduce the stated interest rate to a nominal percentage. These subsidy payments do not include the amount of any supplemental interest paid on a QSCB. For the year ended June 30, 2025, the subsidy payments amounted to \$113,251.

The Alcorn School District makes equal annual payments into a sinking fund which is used to pay off the bonds at termination. The current maturity limit of tax credit bonds is 17 years, per the U. S. Treasury Department. Under this program, ten percent of the proceeds must be subject to a binding commitment to be spent within six months of issuance and 100% must be spent within three years. Up to two percent of bond proceeds can be used to pay costs of issuance. The amount on deposit at June 30, 2025 was \$2,097,418. The amount accumulated in the sinking fund at the end of the seventeen-year period is expected to be sufficient to retire the debt. The following schedule reports the annual deposits to be made to the sinking fund by the Alcorn School District.

Year Ending June 30	Amount
2026	\$ 144,000
Total	<u>\$ 144,000</u>

Note 15 - Subsequent Events

Events that occur after the Statement of Net Position date but before the financial statements are available to be issued must be evaluated for recognition or disclosure. The effects of subsequent events that provide evidence about conditions that existed at the Statement of Net Position date are recognized in the accompanying financial statements. Subsequent events which provide evidence about conditions that existed after the Statement of Net Position date require disclosure in the accompanying notes. Management of the Alcorn School District evaluated the activity of the district through July 31, 2026, (the date the financial statements were available to be issued), and determined that no subsequent events have occurred requiring disclosure in the notes to the financial statements.

REQUIRED SUPPLEMENTARY INFORMATION

ALCORN SCHOOL DISTRICT
Required Supplementary Information

Budgetary Comparison Schedule
General Fund
For the Year Ended June 30, 2025

	Budgeted Amounts		Actual (GAAP Basis)	Variances	
				Positive (Negative)	
	Original	Final		Original to Final	Final to Actual
Revenues:					
Local sources	\$ 9,705,996	9,998,693	9,998,698	\$ 292,697	\$ 5
State sources	22,910,078	22,954,290	22,954,290	44,212	-
Federal sources	258,000	258,891	258,892	891	1
Total Revenues	32,874,074	33,211,874	33,211,880	337,800	6
Expenditures:					
Instruction	19,961,652	19,670,383	19,670,380	291,269	3
Support services	11,661,030	10,991,891	10,892,614	669,139	99,277
Noninstructional services	-	4,561	4,561	(4,561)	-
Facilities acquisition and construction	200,000	150,055	88,488	49,945	61,567
Debt service:					
Principal	640,078	566,155	945,077	73,923	(378,922)
Interest	128,360	125,279	151,307	3,081	(26,028)
Other	1,250	3,190	3,190	(1,940)	-
Total Expenditures	32,592,370	31,511,514	31,755,617	1,080,856	(244,103)
Excess (Deficiency) of Revenues over (under) Expenditures	281,704	1,700,360	1,456,263	1,418,656	(244,097)
Other Financing Sources (Uses):					
SBITA issued	-	-	221,409	-	221,409
Payment to QSCB debt escrow agent	-	-	(70,078)	-	(70,078)
Operating transfers in	3,669,357	3,498,588	26,019	(170,769)	(3,472,569)
Other financing sources	40,000	40,909	41,073	909	164
Operating transfers out	(4,046,899)	(3,916,121)	(443,551)	130,778	3,472,570
Total Other Financing Sources (Uses)	(337,542)	(376,624)	(225,128)	(39,082)	151,496
Net Change in Fund Balances	(55,838)	1,323,736	1,231,135	1,379,574	(92,601)
Fund Balances:					
July 1, 2024	6,541,744	6,541,744	6,541,744	-	-
June 30, 2025	\$ 6,485,906	\$ 7,865,480	\$ 7,772,879	\$ 1,379,574	\$ (92,601)

The notes to the required supplementary information are an integral part of this schedule.

ALCORN SCHOOL DISTRICT
Required Supplementary Information

SCHEDULE OF THE DISTRICT'S PROPORTIONATE SHARE OF THE NET PENSION LIABILITY

PERS

Last 10 Fiscal Years*

		2025	2024	2023	2022	2021	2020	2019	2018	2017	2016
District's proportion of the net pension liability	%	0.29806	0.281878	0.266364	0.266414	0.265668	0.270115	0.264647	0.245806	0.268804	0.264210
District's proportionate share of the net pension liability	\$	77,398,510	70,896,038	54,827,404	39,377,154	51,430,238	47,518,558	44,018,660	40,861,301	48,015,106	40,841,656
District's covered payroll	\$	22,841,029	20,894,931	18,337,362	17,713,799	17,690,172	15,923,701	16,900,241	15,768,578	17,196,057	16,506,356
District's proportionate share of the net pension liability as a percentage of its covered payroll		338.86%	339.30%	298.99%	222.30%	290.73%	298.41%	260.46%	259.13%	279.22%	247.43%
Plan fiduciary net position as a percentage of the total pension liability		56.30%	55.70%	59.93%	70.44%	58.97%	61.59%	62.54%	61.49%	57.47%	61.70%

The notes to the required supplementary information are an integral part of this schedule.

* The amounts presented for each fiscal year were determined as of the measurement date of 6/30 of the year prior to the fiscal year presented.

This schedule is presented to illustrate the requirement to show information for 10 years. GASB Statement No. 68 was implemented in FYE 6/30/15 and the District has compiled a full 10-year trend.

ALCORN SCHOOL DISTRICT
Required Supplementary Information

SCHEDULE OF DISTRICT CONTRIBUTIONS

PERS

Last 10 Fiscal Years*

		2025	2024	2023	2022	2021	2020	2019	2018	2017	2016
Contractually required contribution	\$	3,551,231	3,974,339	3,635,718	3,190,701	3,082,201	3,078,090	2,770,724	2,661,788	2,483,551	2,708,379
Contributions in relation to the contractually required contribution	\$	3,551,231	3,974,339	3,635,718	3,190,701	3,082,201	3,078,090	2,770,724	2,661,788	2,483,551	2,708,379
Contribution deficiency (excess)	\$	-	-	-	-	-	-	-	-	-	-
District's covered payroll	\$	19,839,279	22,841,029	20,894,931	18,337,362	17,713,799	17,690,172	17,591,898	16,900,241	15,768,578	17,196,057
Contributions as a percentage of covered payroll		17.90%	17.40%	17.40%	17.40%	17.40%	17.40%	15.75%	15.75%	15.75%	15.75%

The notes to the required supplementary information are an integral part of this schedule.

*This schedule is presented to illustrate the requirement to show information for 10 years. GASB Statement No. 68 was implemented in FYE 6/30/15 and the District has compiled a full 10-year trend.

ALCORN SCHOOL DISTRICT
Required Supplementary Information

SCHEDULE OF THE DISTRICT'S PROPORTIONATE SHARE OF THE NET OPEB LIABILITY

OPEB

Last 10 Fiscal Years*

		2025	2024	2023	2022	2021	2020	2019	2018*
District's proportion of the net OPEB liability	%	0.38520994	0.38492918	0.37253306	0.36199895	0.35118551	0.35916576	0.35201097	0.34095218
District's proportionate share of the net OPEB liability	\$	2,152,492	2,130,102	1,835,411	2,330,122	2,732,954	3,047,671	2,722,982	2,675,141
District's covered-employee payroll	\$	22,841,029	20,486,123	18,306,111	17,210,147	16,924,880	16,447,730	15,921,217	15,318,044
District's proportionate share of the net OPEB liability as a percentage of its covered-employee payroll		9.42%	10.40%	10.03%	13.54%	16.15%	18.53%	17.10%	17.46%
Plan fiduciary net position as a percentage of the total OPEB liability		0.20%	0.19%	0.21%	0.16%	0.13%	0.12%	0.13%	0.00%

The notes to the required supplementary information are an integral part of this schedule.

The amounts presented for each fiscal year were determined as of the measurement date of 6/30 of the year prior to the fiscal year presented.

*This schedule is presented to illustrate the requirement to show information for 10 years. However, GASB Statement No. 75 was implemented in FYE 6/30/2018, and, until a full 10-year trend is compiled, the District has only presented information for the years in which information is available.

ALCORN SCHOOL DISTRICT
Required Supplementary Information

SCHEDULE OF DISTRICT'S CONTRIBUTIONS

OPEB

Last 10 Fiscal Years*

	2025	2024	2023	2022	2021	2020	2019	2018*
Actuarially determined contribution	\$ 100,693	94,093	93,402	74,797	93,656	108,990	122,160	114,045
Contributions in relation to the actuarially determined contribution	\$ 100,693	94,093	93,402	74,797	93,656	108,990	122,160	114,045
Contribution deficiency (excess)	\$ -	-	-	-	-	-	-	-
District's covered-employee payroll	\$ 19,839,279	19,768,938	28,351,003	16,914,049	18,165,787	15,317,896	15,846,536	15,321,541
Contributions as a percentage of covered-employee payroll	0.51%	0.48%	0.33%	0.44%	0.52%	0.71%	0.77%	0.74%

The notes to the required supplementary information are an integral part of this schedule.

*This schedule is presented to illustrate the requirement to show information for 10 years. However, GASB Statement No. 75 was implemented in FYE 6/30/2018, and, until a full 10-year trend is compiled, the District has only presented information for the years in which information is available. Prior year information is based on historical amounts reported in prior year audit report(s).

Notes to Required Supplementary Information

Budgetary Comparison Schedule

(1) Basis of Presentation

The Budgetary Comparison Schedule presents the original legally adopted budget, the final legally adopted budget, the actual data on the GAAP basis, variances between the original budget and the final budget, and variances between the final budget and the actual data.

(2) Budget Amendments and Revisions

The budget is adopted by the school board and filed with the taxing authority. Amendments can be made on the approval of the school board. By statute, final budget revisions must be approved on or before October 15. A budgetary comparison is presented for the General Fund consistent with accounting principles generally accepted in the United States of America.

(3) Budget Variances

The budget variances noted for the General Fund is a result of auditor adjustments and do not result in a violation of state laws and regulations.

Pension Schedules

(1) *Changes of assumptions*

2015:

The expectation of retired life mortality was changed to the RP-2014 Healthy Annuitant Blue Collar Table projected to 2016 using Scale BB rather than the RP-2000 Mortality Table, which was used prior to 2015.

The expectation of disabled mortality was changed to the RP-2014 Disabled Retiree Table, rather than the RP-2000 Disabled Mortality Table, which was used prior to 2015.

Withdrawal rates, pre-retirement mortality rates, disability rates and service retirement rates were also adjusted to more closely reflect actual experience.

Assumed rates of salary increase were adjusted to more closely reflect actual and anticipated experience.

The price inflation and investment rate of return assumptions were changed from 3.50% to 3.00% and 8.00% to 7.75%, respectively.

2016:

The assumed rate of interest credited to employee contributions was changed from 3.50% to 2.00%.

2017:

The expectation of retired life mortality was changed to the RP-2014 Healthy Annuitant Blue Collar Mortality Table projected with Scale BB to 2022. Small adjustments were also made to the Mortality Table for disabled lives.

The wage inflation assumption was reduced from 3.75% to 3.25%.

Withdrawal rates, pre-retirement mortality rates, disability rates and service retirement rates were also adjusted to more closely reflect actual experience.

The percentage of active member disabilities assumed to be in the line of duty was increased from 6% to 7%.

2019:

The expectation of retired life mortality was changed to the PubS.H-2010(B) Retiree Table with the following adjustments: for males, 112% of male rates from ages 18 to 75 scaled down to 105% for ages 80 to 119; for females, 85% of the female rates from ages 18 to 65 scaled up to 102% for ages 75 to 119; and projection scale MP-2018 will be used to project future improvements in life expectancy generationally.

The expectation of disabled mortality was changed to PubT.H-2010 Disabled Retiree Table for disabled retirees with the following adjustments: for males, 137% of male rates at all ages; for females, 115% of female rates at all ages; and projection scale MP-2018 will be used to project future improvements in life expectancy generationally.

The price inflation assumption was reduced from 3.00% to 2.75%.

The wage inflation assumption was reduced from 3.25% to 3.00%.

Withdrawal rates, pre-retirement mortality rates, and service retirement rates were also adjusted to more closely reflect actual experience.

The percentage of active member disabilities assumed to be in the line of duty was increased from 7% to 9%.

2021:

The expectation of retired life mortality was changed to the PubS.H-2010(B) Retiree Table with the following adjustments: for males, 95% of male rates up to age 60, 110% for ages 61 to 75, and 101% for ages above 77; for females, 84% of female rates up to age 72, 100% for ages above 76; and projection scale MP-2020 will be used to project future improvements in life expectancy generationally.

The expectation of disabled mortality was changed to PubG.H-2010 Disabled Table for disabled retirees with the following adjustments: for males, 134% of male rates at all ages; for females, 121% of female rates at all ages; and projection scale MP-2020 will be used to project future improvements in life expectancy generationally.

The expectation of contingent annuitant mortality was based on the PubS.H-2010(B) Contingent Annuitant Table with the following adjustments: for males, 97% of male rates at all ages; for females, 110% of female rates at all ages; and projection scale MP-2020 will be used to project future improvements in life expectancy generationally.

The price inflation assumption was reduced from 2.75% to 2.40%.

The wage inflation assumption was reduced from 3.00% to 2.65%.

The investment rate of return assumption was changed from 7.75% to 7.55%.

The assumed load for administrative expenses was increased from 0.25% to 0.28%.

Withdrawal rates, pre-retirement mortality rates, disability rates and service retirement rates were also adjusted to reflect actual experience more closely.

The percentage of active member disabilities assumed to be in the line of duty was increased from 9% to 12%.

The percentage of active member deaths assumed to be in the line of duty was decreased from 6% to 4%.

2023:

The investment rate of return assumption was changed from 7.55% to 7.00%.

The assumed load for administrative expenses was decreased from 0.28% to 0.26% of payroll.

Withdrawal rates, disability rates and service retirement rates were adjusted to reflect actual experience more closely.

The percentage of participants assumed to receive a deferred benefit upon attaining the eligibility requirements for retirement was increased from 60% to 65%.

For married members, the number of years that a male is assumed to be older than his spouse was changed from 3 years to 2 years.

The assumed amount of unused sick leave at retirement was increased from 0.50 years to 0.55 years.

The assumed average number of years of military service that participants will have at retirement was decreased from 0.25 years to 0.20 years.

(2) *Changes in benefit provisions*

2016:

Effective July 1, 2016, the interest rate on employee contributions shall be calculated based on the money market rate as published by the Wall Street Journal on December 31 of each preceding year with a minimum rate of one percent and a maximum rate of five percent.

(3) *Method and assumptions used in calculations of actuarially determined contributions.*

The actuarially determined contribution rates in the schedule of employer contributions are calculated as of June 30, two years prior to the end of the fiscal year in which contributions are reported (June 30, 2022 valuation for the June 30, 2024 fiscal year end). The following actuarial methods and assumptions were used to determine the most recent contribution rate reported in that schedule:

Actuarial cost method	Entry age
Amortization method	Level percentage of payroll, open
Remaining amortization period	25.6 years
Asset valuation method	5-year smoothed market
Price Inflation	2.40 percent
Salary increase	2.65 percent to 17.90 percent, including inflation
Investment rate of return	7.55 percent, net of pension plan investment expense, including inflation

OPEB Schedules

(1) *Changes of assumptions*

2017: The discount rate was changed from 3.01% for the prior Measurement Date to 3.56% for the current Measurement Date.

2018: The discount rate was changed from 3.56% for the prior Measurement Date to 3.89% for the current Measurement Date.

2019: The discount rate was changed from 3.89% for the prior Measurement Date to 3.50% for the current Measurement Date.

2020: The discount rate was changed from 3.50% for the prior Measurement Date to 2.19% for the current Measurement Date.

2021: The discount rate was changed from 2.19% for the prior Measurement Date to 2.13% for the current Measurement Date.

2022: The discount rate was changed from 2.13% for the prior Measurement Date to 3.37% for the current Measurement Date.

2023: The discount rate was changed from 3.37% for the prior Measurement Date to 3.66% for the current Measurement Date. Withdrawal rates, disability rates, service retirement rates and salary merit rates were adjusted to reflect actual experience more closely.

2024: The discount rate was changed from 3.66% for the prior Measurement Date to 3.94% for the current Measurement Date. Withdrawal rates, disability rates, service retirement rates and salary merit rates were adjusted to reflect actual experience more closely.

(2) *Changes in benefit provisions*

2017: None

2018: None

2019: None

2020: The schedule of monthly retiree contributions was increased as of January 1, 2021. In addition, the deductibles and coinsurance maximums were increased for the Select coverage and the coinsurance maximums were increased for the Base Coverage beginning January 1, 2021.

2021: The schedule of monthly retiree contributions was increased as of January 1, 2022. In addition, the in-network medical deductible was increased for the Select coverage beginning January 1, 2022.

2022: The schedule of monthly retiree contributions was increased as of January 1, 2023. In addition, the in-network medical deductible was increased for the Select coverage beginning January 1, 2023.

2023: The schedule of monthly retiree contributions was increased as of January 1, 2024. In addition, the in-network medical deductible was increased for the Base Family coverage beginning January 1, 2024.

2024: The schedule of monthly retiree contributions was increased as of January 1, 2025. In addition, the medical deductible was increased for the Base Family coverage beginning January 1, 2025.

(3) *Methods and assumptions used in calculations of Actuarially Determined Contributions.* The Actuarially Determined Contributions rates, as a percentage of payroll, used to determine the Actuarially Determined Contribution amounts in the Schedule of Employer Contributions are calculated as of the most recent Valuation Date. The following actuarial methods and assumptions (from the June 30, 2023 actuarial valuation) were used to determine contribution rates reported in that schedule for the year ending June 30, 2024:

Actuarial cost method	Entry age
Amortization method	Level dollar
Amortization period	30 years, open
Asset valuation method	Market Value of Assets
Price inflation	2.40%
Salary increases, including wage inflation	2.65% to 17.90%
Initial health care cost trend rates	

Medicare Supplement Claims Pre-Medicare	6.50%
Ultimate health care cost trend rates Medicare Supplement Claims Pre-Medicare	4.50%
Year of ultimate trend rates Medicare Supplement Claims Pre-Medicare	2029
Long-term investment rate of return, net of OPEB plan investment expense, including price inflation	3.66%

SUPPLEMENTARY INFORMATION

ALCORN SCHOOL DISTRICT

Supplementary Information

**Schedule of Expenditures of Federal Awards
For the Year Ended June 30, 2025**

Federal Grantor/Pass-through Grantor/Program Title	Federal Assistance Listing No.	Pass-through Entity Identifying Number	Federal Expenditures
<u>U.S. Department of Agriculture</u>			
Passed-through Mississippi Department of Education:			
Child nutrition cluster:			
School Breakfast Program	10.553	245MS326N1099	\$ 388,929
National school lunch program	10.555	245MS326N1099	1,169,473
Summer Food Service Program for Children	10.559	245MS326N1099	16,098
Total child nutrition cluster			<u>1,574,500</u>
Total passed-through Mississippi Department of Education			<u>1,574,500</u>
Total U.S. Department of Agriculture			<u><u>1,574,500</u></u>
<u>U.S. Department of Interior</u>			
Direct program:			
Payment in lieu of taxes	15.226	N/A	<u>124,039</u>
Total U.S. Department of Interior			<u><u>124,039</u></u>
<u>U.S. Department of Education</u>			
Passed-through Mississippi Department of Education:			
Title I grants to local educational agencies	84.010	S010A220024 S010A230024 S010A240024	972,212
Career and technical education - basic grants to states	84.048	V048A240024	70,742
Twenty-first Century Community Learning Centers	84.287	S287C220024 S287C230024	468,850
Supporting Effective Instruction State Grants	84.367	S367A220023 S367A230023 S367A240023	28,040
Student Support and Academic Enrichment	84.424	S424A220025 S424A230025 S424A240025	16,495
Subtotal			<u><u>1,556,339</u></u>
COVID-19 - Elementary & Secondary School Emergency Relief Fund ARP III	84.425U	S425U210031	<u>113,344</u>
COVID-19 - Education Stabilization Fund (ESSER) Subtotal			<u><u>113,344</u></u>

Continued on the next page

ALCORN SCHOOL DISTRICT

Supplementary Information

**Schedule of Expenditures of Federal Awards
For the Year Ended June 30, 2025**

Federal Grantor/Pass-through Grantor/Program Title	Federal Assistance Listing No.	Pass-through Entity Identifying Number	Federal Expenditures
Special education cluster:			
Special education - grants to states	84.027	H027A220108 H027A230108 H027A240108	879,489
Subtotal			<u>879,489</u>
Special education - preschool grants	84.173	H173A220113 H173A230113 H173A240113	30,490
Subtotal			<u>30,490</u>
Total special education cluster			<u>909,979</u>
Total passed-through Mississippi Department of Education			<u>2,579,662</u>
Total U.S. Department of Education			<u>2,579,662</u>
 U.S. Department of Health and Human Services			
Passed-through the Mississippi Department of Education:			
Medicaid Cluster:			
Medical assistance program	93.778	2405MS5ADM	21,602
Total Medicaid cluster			<u>21,602</u>
Total passed-through Mississippi Department of Education			<u>21,602</u>
Total U.S. Department of Health and Human Services			<u>21,602</u>
 Total for All Federal Awards			 <u><u>\$ 4,299,803</u></u>

The notes to the Supplementary Information are an integral part of this schedule.

Alcorn School District

Notes to the Supplementary Information
For the Year Ended June 30, 2025

Schedule of Expenditures of Federal Awards

(1) Basis of Presentation

The accompanying schedule of expenditures of federal awards (the "Schedule") includes the federal award activity of the Alcorn School District under programs of the federal government for the year ended June 30, 2025. The information in this Schedule is presented in accordance with the requirements of Title 2 U.S. *Code of Federal Regulations* Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Because the Schedule presents only a selected portion of the operations of the Alcorn School District, it is not intended to and does not present the financial position, changes in net position, or cash flows of the Alcorn School District.

(2) Summary of Significant Accounting Policies

Expenditures reported on the Schedule are reported on the accrual basis of accounting. Such expenditures are recognized following the cost principles contained in the Uniform Guidance, wherein certain types of expenditures are not allowable or are limited as to reimbursement. Negative amounts shown on the Schedule represent adjustments or credits made in the normal course of business to amounts reported as expenditures in prior years.

(3) Indirect Cost Rate

The Alcorn School District has not elected to use the 10-percent de minimis indirect cost rate allowed under the Uniform Guidance.

(4) Noncash Awards

Donated commodities of \$84,425 are included in the National School Lunch Program.

ALCORN SCHOOL DISTRICT

Supplementary Information

**Schedule of Instructional, Administrative and Other Expenditures - Governmental Funds
For the Year Ended June 30, 2025**

Expenditures	Total	Instruction and Other Student Instructional Expenditures	General Administration	School Administration	Other
Salaries and fringe benefits	\$ 29,638,254	23,143,302	1,068,625	2,460,295	2,966,032
Other	9,484,677	2,408,494	246,889	23,931	6,805,363
Total	<u>\$ 39,122,931</u>	<u>25,551,796</u>	<u>1,315,514</u>	<u>2,484,226</u>	<u>9,771,395</u>
Total number of students *	<u>2,951</u>				
Cost per student	<u>\$ 13,258</u>	<u>8,659</u>	<u>446</u>	<u>842</u>	<u>3,311</u>

For purposes of this schedule, the following columnar descriptions are applicable:

Instruction and Other Student Instructional Expenditures - includes the activities dealing directly with the interaction between teachers and students. Included here are the activities of teachers, teachers aides or classroom assistants of any type.

General Administration - includes expenditures for the following functions: Support Services - General Administration and Support Services - Business.

School Administration - includes expenditures for the following function: Support Services - School Administration.

Other - includes all expenditure functions not included in Instruction or Administration Categories.

* includes the number of students reported on the ADA report submission for month 9, which is the final submission for the fiscal year

OTHER INFORMATION

ALCORN SCHOOL DISTRICT

Other Information

Statement of Revenues, Expenditures and Changes in Fund Balances

General Fund

Last Four Years

UNAUDITED

	2025	2024*	2023*	2022*
Revenues:				
Local sources	\$ 9,998,698	\$ 9,605,752	\$ 9,166,041	\$ 8,680,821
State sources	22,954,290	21,613,774	20,428,756	17,848,862
Federal sources	258,892	1,056,402	643,394	257,739
Sixteenth section sources	-	417	-	-
Total Revenues	33,211,880	32,276,345	30,238,191	26,787,422
Expenditures:				
Instruction	19,670,380	19,310,470	19,238,434	16,926,849
Support services	10,892,614	10,276,558	12,469,528	8,172,378
Noninstructional services	4,561	4,747	6,930	8,563
Facilities acquisition and construction	88,488	445,691	412,683	115,622
Debt service:				
Principal	945,077	956,544	1,261,603	316,671
Interest	151,307	259,618	229,880	181,522
Other	3,190	3,190	5,130	5,130
Total Expenditures	31,755,617	31,256,818	33,624,188	25,726,735
Excess (Deficiency) of Revenues over (under) Expenditures	1,456,263	1,019,527	(3,385,997)	1,060,687
Other Financing Sources (Uses):				
Leases issued	-	-	246,288	100,143
SBITA issued	221,409	398,808	212,398	-
Proceeds of loans	-	-	1,914,155	-
Insurance recovery	-	167,242	198,192	75,904
Payment to QSCB debt escrow agent	(70,078)	(144,000)	(144,000)	(144,001)
Sale of transportation equipment	-	-	1,080	-
Sale of other property	-	593,755	41,423	76,926
Operating transfers in	26,019	223,412	291,839	286,586
Other financing sources	41,073	8,659	-	-
Operating transfers out	(443,551)	(1,166,221)	(429,590)	(667,627)
Total Other Financing Sources (Uses)	(225,128)	81,655	2,331,785	(272,069)
Net Change in Fund Balances	1,231,135	1,101,182	(1,054,212)	788,618
Fund Balances:				
Beginning of period, as previously reported	6,541,744	5,440,562	6,329,855	5,425,071
Error corrections	-	-	164,919	116,166
Beginning of period, as restated	6,541,744	5,440,562	6,494,774	5,541,237
End of Period	\$ 7,772,879	\$ 6,541,744	\$ 5,440,562	\$ 6,329,855

*SOURCE - PRIOR YEAR AUDIT REPORTS

ALCORN SCHOOL DISTRICT

Other Information

Statement of Revenues, Expenditures and Changes in Fund Balances

All Governmental Funds

Last Four Years

UNAUDITED

	2025	2024*	2023*	2022*
Revenues:				
Local sources	\$ 11,531,547	\$ 10,905,689	\$ 10,265,110	\$ 9,346,282
State sources	24,151,757	22,776,756	21,694,038	18,798,226
Federal sources	4,413,054	8,284,620	8,695,727	7,744,577
Sixteenth section sources	-	417	-	-
Total Revenues	40,096,358	41,967,482	40,654,875	35,889,085
Expenditures:				
Instruction	22,993,030	23,407,111	23,149,899	20,647,206
Support services	12,177,529	12,188,342	14,612,949	10,793,427
Noninstructional services	1,895,146	1,756,064	2,054,165	1,822,625
Facilities acquisition and construction	324,623	2,248,249	2,540,511	545,538
Debt service:				
Principal	1,509,876	1,424,023	1,721,460	742,234
Interest	219,537	342,583	322,969	283,486
Other	3,190	3,190	5,130	5,130
Total Expenditures	39,122,931	41,369,562	44,407,083	34,839,646
Excess (Deficiency) of Revenues over (under) Expenditures	973,427	597,920	(3,752,208)	1,049,439
Other Financing Sources (Uses):				
Leases issued	-	-	246,288	100,143
SBITA issued	221,409	398,808	292,021	-
Proceeds of loans	850,000	287,993	1,914,155	-
Insurance recovery	-	167,242	198,192	75,904
Payment from QSCB debt escrow agent	70,078	144,000	144,000	144,001
Payment to QSCB escrow agent	(70,078)	(144,000)	(144,000)	(144,001)
Sale of transportation equipment	-	-	1,080	-
Sale of other property	-	593,755	41,423	76,926
Operating transfers in	472,363	1,474,952	2,308,206	993,346
Other financing sources	41,073	8,659	-	-
Operating transfers out	(472,363)	(1,474,952)	(2,308,206)	(994,826)
Other financing uses	(1,143)	-	-	-
Total Other Financing Sources (Uses)	1,111,339	1,456,457	2,693,159	251,493
Net Change in Fund Balances	2,084,766	2,054,377	(1,059,049)	1,300,932
Fund Balances:				
Beginning of period, as previously reported	10,974,712	8,958,381	9,705,504	8,432,596
Error corrections	-	(624)	330,322	(75,287)
Beginning of period, as restated	10,974,712	8,957,757	10,035,826	8,357,309
Increase (Decrease) in reserve for inventory	(4,234)	(37,422)	(18,396)	47,263
End of Period	\$ 13,055,244	\$ 10,974,712	\$ 8,958,381	\$ 9,705,504

*SOURCE - PRIOR YEAR AUDIT REPORTS

REPORTS ON INTERNAL CONTROL AND COMPLIANCE

CUNNINGHAM CPAs, PLLC
Certified Public Accountants & Consultants

202 Church Street
Belzoni, Mississippi 39038
Office: (662) 247-2416
Fax: (662) 247-2420

10 South Bancroft Street
Fairhope, Alabama 36532
Office: (251) 929-7778
Fax: (251) 929-7779

INDEPENDENT AUDITOR'S REPORT ON INTERNAL CONTROL OVER FINANCIAL REPORTING AND
ON COMPLIANCE AND OTHER MATTERS BASED ON AN AUDIT OF FINANCIAL STATEMENTS
PERFORMED IN ACCORDANCE WITH *GOVERNMENT AUDITING STANDARDS*

Superintendent and School Board
Alcorn School District

We have audited, in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States (*Government Auditing Standards*), the financial statements of the governmental activities, each major fund, and the aggregate remaining fund information of Alcorn School District, as of and for the year ended June 30, 2025, and the related notes to the financial statements, which collectively comprise Alcorn School District's basic financial statements, and have issued our report thereon dated July 31, 2026.

Report on Internal Control over Financial Reporting

In planning and performing our audit of the financial statements, we considered Alcorn School District's internal control over financial reporting (internal control) as a basis for designing audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of Alcorn School District's internal control. Accordingly, we do not express an opinion on the effectiveness of Alcorn School District's internal control.

A *deficiency in internal control* exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements, on a timely basis. A *material weakness* is a deficiency, or a combination of deficiencies, in internal control, such that there is a reasonable possibility that a material misstatement of the entity's financial statements will not be prevented, or detected and corrected, on a timely basis. A *significant deficiency* is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or, significant deficiencies. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. However, material weaknesses or significant deficiencies may exist that were not identified.

Report on Compliance and Other Matters

As part of obtaining reasonable assurance about whether Alcorn School District's financial statements are free from material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements, noncompliance with which could have a direct and material effect on the financial statements. However, providing an opinion on compliance with those provisions was not an objective of our audit, and accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

Purpose of This Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the entity's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the entity's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

A handwritten signature in dark ink that reads "Cunningham CPAs". The word "Cunningham" is written in a cursive script, and "CPAs" is written in a more blocky, sans-serif style.

Cunningham CPAs, PLLC

Belzoni, MS

July 31, 2026

CUNNINGHAM CPAs, PLLC
Certified Public Accountants & Consultants

202 Church Street
Belzoni, Mississippi 39038
Office: (662) 247-2416
Fax: (662) 247-2420

10 South Bancroft Street
Fairhope, Alabama 36532
Office: (251) 929-7778
Fax: (251) 929-7779

INDEPENDENT AUDITOR'S REPORT ON COMPLIANCE FOR EACH MAJOR FEDERAL PROGRAM
AND ON INTERNAL CONTROL OVER COMPLIANCE REQUIRED BY THE UNIFORM GUIDANCE

Superintendent and School Board
Alcorn School District

Report on Compliance for Each Major Federal Program

Opinion on Each Major Federal Program

We have audited Alcorn School District's compliance with the types of compliance requirements identified as subject to audit in the OMB *Compliance Supplement* that could have a direct and material effect on each of Alcorn School District's major federal programs for the year ended June 30, 2025. Alcorn School District's major federal programs are identified in the summary of auditor's results section of the accompanying schedule of findings and questioned costs.

In our opinion, Alcorn School District complied, in all material respects, with the compliance requirements referred to above that could have a direct and material effect on each of its major federal programs for the year ended June 30, 2025.

Basis for Opinion on Each Major Federal Program

We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America (GAAS); the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States (*Government Auditing Standards*); and the audit requirements of Title 2 U.S. *Code of Federal Regulations* Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Our responsibilities under those standards and the Uniform Guidance are further described in the Auditor's Responsibilities for the Audit of Compliance section of our report.

We are required to be independent of Alcorn School District and to meet our other ethical responsibilities, in accordance with relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion on compliance for each major federal program. Our audit does not provide a legal determination of Alcorn School District's compliance with the compliance requirements referred to above.

Responsibilities of Management for Compliance

Management is responsible for compliance with the requirements referred to above and for the design, implementation, and maintenance of effective internal control over compliance with the requirements of laws, statutes, regulations, rules, and provisions of contracts or grant agreements applicable to Alcorn School District's federal programs.

Auditor's Responsibilities for the Audit of Compliance

Our objectives are to obtain reasonable assurance about whether material noncompliance with the compliance requirements referred to above occurred, whether due to fraud or error, and express an opinion on Alcorn School District's compliance based on our audit. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with generally accepted auditing standards, *Government Auditing Standards*, and the Uniform Guidance will always detect material noncompliance when it exists. The risk of not detecting material

noncompliance resulting from fraud is higher than for that resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Noncompliance with the compliance requirements referred to above is considered material if there is a substantial likelihood that, individually or in the aggregate, it would influence the judgment made by a reasonable user of the report on compliance about Alcorn School District's compliance with the requirements of each major federal program as a whole.

In performing an audit in accordance with generally accepted auditing standards, *Government Auditing Standards*, and the Uniform Guidance, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material noncompliance, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding Alcorn School District's compliance with the compliance requirements referred to above and performing such other procedures as we considered necessary in the circumstances.
- Obtain an understanding of Alcorn School District's internal control over compliance relevant to the audit in order to design audit procedures that are appropriate in the circumstances and to test and report on internal control over compliance in accordance with the Uniform Guidance, but not for the purpose of expressing an opinion on the effectiveness of Alcorn School District's internal control over compliance. Accordingly, no such opinion is expressed.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and any significant deficiencies and material weaknesses in internal control over compliance that we identified during the audit.

Report on Internal Control over Compliance

A *deficiency in internal control over compliance* exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance with a type of compliance requirement of a federal program on a timely basis. A *material weakness in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal program will not be prevented, or detected and corrected, on a timely basis. A *significant deficiency in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

Our consideration of internal control over compliance was for the limited purpose described in the Auditor's Responsibilities for the Audit of Compliance section above and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies in internal control over compliance. Given these limitations, during our audit we did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses, as defined above. However, material weaknesses or significant deficiencies in internal control over compliance may exist that were not identified.

Our audit was not designed for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, no such opinion is expressed.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of the Uniform Guidance. Accordingly, this report is not suitable for any other purpose.



Cunningham CPAs, PLLC
Belzoni, MS
July 31, 2026

INDEPENDENT AUDITOR'S REPORT ON COMPLIANCE WITH STATE LAWS AND REGULATIONS

CUNNINGHAM CPAs, PLLC
Certified Public Accountants & Consultants

202 Church Street
Belzoni, Mississippi 39038
Office: (662) 247-2416
Fax: (662) 247-2420

10 South Bancroft Street
Fairhope, Alabama 36532
Office: (251) 929-7778
Fax: (251) 929-7779

INDEPENDENT AUDITOR'S REPORT
ON COMPLIANCE WITH STATE LAWS AND REGULATIONS

Superintendent and School Board
Alcorn School District

We have audited the financial statements of the governmental activities, each major fund, and the aggregate remaining fund information of the Alcorn School District as of and for the year ended June 30, 2025, which collectively comprise Alcorn School District's basic financial statements and have issued our report thereon dated July 31, 2026. We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States.

Section 37-9-18(3)(a), Miss. Code Ann. (1972), states in part, "the auditor shall test to insure that the school district is complying with the requirements of Section 37-61-33(3)(a)(iii), Miss. Code Ann. (1972), relating to classroom supply funds." As required by the state legal compliance audit program prescribed by the Office of the State Auditor, we have also performed procedures to test compliance with certain other state laws and regulations. However, providing an opinion on compliance with all state laws and regulations was not an objective of our audit and, accordingly, we do not express such an opinion.

The results of our procedures performed to test compliance with the requirements of Section 37-61-33(3)(a)(iii), Miss. Code Ann. (1972), disclosed no instances of noncompliance.

Section 37-9-18(3)(b), Miss. Code Ann. (1972), states in part, "the auditor shall test to insure correct and appropriate coding at the function level. The audit must include a report showing the correct and appropriate functional level expenditure codes in expenditures by the school district."

The results of our procedures performed to test compliance with the requirements of Section 37-9-18(3)(b), Miss. Code Ann. (1972), disclosed no instances of noncompliance related to incorrect or inappropriate functional level expenditure coding.

As required by the state legal compliance audit program prescribed by the Office of the State Auditor, we have also performed procedures to test compliance with certain other state laws and regulations. However, providing an opinion on compliance with all state laws and regulations was not an objective of our audit and, accordingly, we do not express such an opinion.

The results of procedures performed to test compliance with certain other state laws and regulations, and our audit of the financial statements did not disclose any instances of noncompliance with other state laws and regulations.

This report is intended solely for the information and use of the school board and management, entities with accreditation overview, and federal awarding agencies, the Office of the State Auditor and pass-through entities and is not intended to be and should not be used by anyone other than these specified parties. However, this report is a matter of public record, and its distribution is not limited.

A handwritten signature in dark ink that reads "Cunningham CPAs". The word "Cunningham" is written in a cursive script, and "CPAs" is written in a more blocky, sans-serif style.

Cunningham CPAs, PLLC

Belzoni, Mississippi

July 31, 2026

SCHEDULE OF FINDINGS AND QUESTIONED COSTS

ALCORN SCHOOL DISTRICT
Schedule of Findings and Questioned Costs
For the Year Ended June 30, 2025

Section I: Summary of Auditor's Results

Financial Statements:

1. Type of report the auditor issued on whether the financial statements audited were prepared in accordance with GAAP: Unmodified
2. Internal control over financial reporting:
 - a. Material weakness(es) identified? No
 - b. Significant deficiency(ies) identified? None Reported
3. Noncompliance material to financial statements noted? No

Federal Awards:

4. Internal control over major programs:
 - a. Material weakness(es) identified? No
 - b. Significant deficiency(ies) identified? None Reported
5. Type of auditor's report issued on compliance for major federal programs: Unmodified
6. Any audit findings disclosed that are required to be reported in accordance with 2 CFR 200.516(a)? No

7. Identification of major federal programs:

<u>Assistance Listing Numbers</u>	<u>Name of Federal Program or Cluster</u>
Child Nutrition Cluster:	
10.553	School breakfast program
10.555	National school lunch program
10.559	Summer food service program for children
Special Education Cluster:	
84.027	Special Education – grants to states
84.173	Special Education – preschool grants

ALCORN SCHOOL DISTRICT

Schedule of Findings and Questioned Costs
For the Year Ended June 30, 2025

8. Dollar threshold used to distinguish between type A and type B programs: \$750,000
9. Auditee qualified as low-risk auditee? No
10. Prior fiscal year audit findings(s) and questioned costs which would require the auditee to prepare a summary schedule of prior audit findings in accordance with 2CFR 200.511(b). No

Section II: Financial Statement Findings

The results of our tests did not disclose any findings related to the financial statements that are required to be reported under *Government Auditing Standards*.

Section III: Federal Award Findings and Questioned Costs

The results of our tests did not disclose any findings and questioned costs related to the federal awards.